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DEMOCRATIC REPUBLIC OF CONGO ECONOMIC UPDATE

MARCH 2026

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From Parking Lot to Fast Lane Reforming State-Owned Enterprises



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ECONOMIC UPDATE

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The DRC Economic Update (DRCEU) evaluates the recent growth performance and macroeconomic policies of the Democratic Republic of Congo, providing a basis for policy dialogue with the government and other stakeholders. The first chapter of the DRCEU evaluates the drivers of growth and the macroeconomic framework. A three-year perspective is also included, underlining risks and challenges. The second chapter assesses the performance of state-owned enterprises and examines the potential effects of improved SOEs performance on economic growth and household welfare. All macroeconomic indicators and projections are based on data available as of January 2026.

This edition of the DRCEU was prepared by a multidisciplinary team led by Cedric Deguenonvo (Senior Economist) and Steve Loris Gui-Diby (Senior Economist) under the guidance of Jean-Pascal Nganou (Lead Economist) and Cristina Savescu (Lead Economist). The team included Moise Tshimenga Tshibangu (Economist), Neerbewende Abdoul Rachid Pafadnam (Consultant), Kaushiki Singh (Economist), Francis Muamba Mulangu (Senior Economist), Jedah Nyaboe Ogweni (Economist), Eduardo Andres Estrada (Senior Public Sector Specialist), Angelo Donou (Senior Financial Management Specialist), Immanuel Frank Steinhilper (Senior Governance Specialist), Jeannine Kashosi Nkakala (Program Assistant) and Karima Laouali Ladjo (Senior Program Assistant). The report was prepared under the overall guidance and supervision of Albert Zeufack (Division Director), Hassan Zaman (Regional Practice Director), Rafael Munoz Moreno (Practice Manager), and Abha Prasad (Practice Manager). The team benefited from constructive comments provided by peer reviewers Henri Fortin (Lead Public Sector Specialist) and Albert Pijuan Sala (Senior Economist).

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ABBREVIATIONS AND ACRONYMS

BCC	Central Bank of the Congo (<i>Banque Centrale du Congo</i>)
BCI	Business Confidence Index
CADECO	General Savings Bank of Congo (<i>Caisse générale d'épargne du Congo</i>)
CDF	Congolese franc (<i>Franc congolais</i>)
CEO	Chief Executive Officer
CIE	Ivorian Electricity Company (<i>Compagnie Ivoirienne d'Électricité</i>)
COBIL	Congolese Hydrocarbons Company (<i>Société Congolaise des Hydrocarbures</i>)
COMINIERE	The Congolese Mining Company (<i>La Congolaise d'Exploitation Minière</i>)
COPIREP	Steering Committee for Public Enterprise Reform (<i>Comité de Pilotage de la Réforme des Entreprises Publiques</i>)
COVID-19	Coronavirus Disease
CPIA	Country Policy and Institutional Assessment
CSP	High Council of Portfolio (<i>Conseil Supérieur du Portefeuille</i>)
CVM	The Congolese Maritime Transport Company (<i>La Congolaise des Voies Maritimes</i>)
DRC	Democratic Republic of Congo
DSA	Debt Sustainability Analysis
EBIT	Earnings Before Interest and Taxes
EBITDA	Earnings Before Interest, Taxes, Depreciation, and Amortization
EMDEs	Emerging Market and Developing Economies
ERP	Enterprise Resource Planning
EU	Economic Update
FDI	Foreign Direct Investment
FX	Foreign Exchange
Gécamines	General Directorate of Quarries and Mines (<i>Générale des Carrières et des Mines</i>)
GDP	Gross Domestic Product
HCT	Health Check Tool
IGF	Inspection Générale des Finances
IMF	International Monetary Fund
KPIs	Key Performance Indicators
LMC	Congolese Maritime Lines (<i>Lignes Maritimes Congolaises</i>)

MIBA	Bakwanga Mining Company (<i>Société Minière de Bakwanga</i>)
NPLs	Nonperforming Loans
OECD	Organization for Economic Cooperation and Development
OHADA	Organization for the Harmonization of Business Law in Africa (<i>Organisation pour l'Harmonisation en Afrique du Droit des Affaires</i>)
ONATRA	National Transportation Authority (<i>Office National des Transports</i>)
PSO	Public Service Obligations
REGIDESO	Water Distribution Authority (<i>Régie de Distribution d'Eau</i>)
RR	Reserve Requirement
RVA	Air Traffic Control (<i>Régie des Voies Aériennes</i>)
SA	Sociétés Anonymes
SABESP	São Paulo State Basic Sanitation Company (<i>Companhia de Saneamento Básico do Estado de São Paulo</i>)
SAKIMA	Kivu and Maniema Gold Company (<i>Société Aurifère du Kivu et du Maniema</i>)
SCMK	Congolese Kisenge-Manganese Company (<i>Société Congolaise de Kisenge-Manganèse</i>)
SCPT	Congolese Post and Telecommunications Company (<i>Société Congolaise des Postes et Télécommunications</i>)
SCTP	Congolese Transport and Ports Company (<i>Société Congolaise des Transports et des Ports</i>)
SIGMAP	Integrated Public Procurement Management System (<i>Système Intégré de Gestion des Marchés Publics</i>)
SNCC	National Railway Company of Congo (<i>Société Nationale des Chemins de fer du Congo</i>)
SNEL	National Electric Company (<i>Société Nationale d'Electricité</i>)
SSA	Sub-Saharan Africa
SOEs	State Owned Enterprises
SODIMICO	Congolese Industrial and Mining Development Company (<i>Société de Développement Industriel et Minier du Congo</i>)
SOKIMO	Kilo-Moto Mining Company SA (<i>Société Minière de Kilo-Moto SA</i>)
SONAHYDROC	National Hydrocarbons Corporation of Congo (<i>Société Nationale des Hydrocarbures du Congo</i>)
SONAS	National Insurance Company (<i>Société Nationale d'Assurances</i>)
TFP	Total Factor Productivity
VAT	Value-Added Tax
US	United States
WBG	World Bank Group

EXECUTIVE SUMMARY

Chapter 1: The State of the Economy and Outlook

i. In 2025, despite heightened global trade tensions and policy uncertainty economic, growth remained resilient at the global level, across Sub-Saharan African (SSA), and among the key trading partners of the Democratic Republic of Congo (DRC). Global GDP growth stood at 2.7 percent in 2025, supported by trade frontloading in anticipation of rising protectionism, a limited pass-through effect from increased tariffs, easing global financial conditions, supply-chain adjustments, and strong investment related to artificial intelligence. Continued growth among DRC's main trading partners—including China, Singapore, and the United Arab Emirates—helped sustain external demand. In SSA, regional growth reached 4 percent in

2025, supported by easing inflation, strong domestic demand, and higher-than-expected commodity prices, which improved fiscal outcomes across several commodity-exporting countries.

ii. In DRC, real GDP growth slowed from 6.1 percent in 2024 to an estimated at 5.5 percent in 2025 but remained above the SSA average. The mining sector drove the ongoing expansion, with a significant increase in copper production and exports partially offsetting the impact of a ban on cobalt exports between February and October 2025. However, these dynamics underscore the economy's continued dependence on a limited range of mineral commodities.



iii. **Overall, DRC's real GDP growth remained heavily concentrated in capital-intensive sectors, and formal job creation was limited.** Recent growth has not translated into broad-based employment gains or significant poverty reduction. Most workers are engaged in low-productivity activities, and in 2024 an estimated 81.7 percent of the population remained below the poverty line.¹ The economy's persistent reliance on capital-intensive sectors, especially mining, is a major structural constraint on inclusive growth.

iv. **DRC's external position improved in 2025, as rising copper exports mitigated the impact of the cobalt export ban.** The current account deficit narrowed from 4.2 percent of GDP in 2024 to an estimated 3.6 percent in 2025, supported by strong copper export volumes and high gold prices. While international reserves increased, the external position remains vulnerable to commodity-price volatility and shifts in global demand.

v. **Fiscal pressures intensified during 2025.** The overall fiscal deficit widened from 1.9 percent of GDP in 2024 to an estimated 2.9 percent, driven by higher security spending and public-sector wages coupled with weaker revenue collection in conflict-affected areas. Defense spending tripled year-on-year, reaching 3.4 percent of GDP in 2025, as the government attempted to counter heightened insecurity in eastern DRC. Despite these pressures, the public debt stock remains low at an estimated 23.2 percent of GDP, and the risk of debt distress is assessed as moderate. However, fiscal risks are rising, particularly those stemming from state-owned enterprises (SOEs), which account for about 42 percent of external public debt.

vi. **Macroeconomic stabilization efforts advanced significantly in 2025.** Inflation declined sharply, from 11.7 percent at end-2024 to 2.3 percent by end-2025, reflecting sustained monetary tightening, exchange-rate appreciation, and lower international food and fuel prices. The Congolese franc appreciated by approximately 30 percent against the U.S. dollar over the year, contributing to price stability and improved confidence. While monetary and exchange-rate reforms have helped stabilize the macroeconomic environment, maintaining these gains will require continued policy discipline.

vii. **Economic prospects are broadly favorable but are subject to significant downside risks.** Growth is expected to stay strong at around 5.1 percent over 2026-28, driven by sustained mining activity, major infrastructure projects—including the INGA3 hydropower plant and the Lobito corridor—and a stable macroeconomic environment with moderate inflation. Fiscal consolidation is expected to resume, underpinned by digital tax-administration reforms and strengthened expenditure controls, while the external position should improve due to rising copper production, the loosening of export restrictions on cobalt, and moderate import growth. However, the outlook is vulnerable to commodity-price volatility, weaker growth among key trading partners, delays in the implementation of reforms, and persistent insecurity in eastern DRC. In addition, while DRC is at moderate risk of debt distress, SOEs have become a critical source of fiscal vulnerability. In 2023, SOE debt represented 7.3 percent of GDP, or 42 percent of external public debt, and the financial performance of SOEs during the past decade has been weak.

¹ The poverty rate is based on the international poverty line of US\$3.00 per person per day in purchasing-power-parity terms.

Chapter 2: Strengthening SOE Governance to Support Growth

viii. While SOEs have historically played an important role in providing infrastructure and supporting industrial development in countries with shallow domestic financial markets, weak SOE governance has become a significant source of fiscal risk and macroeconomic inefficiency in DRC. Over the past decade, the country's SOEs have suffered from persistent financial losses, limited cash-flow generation, and severe operational inefficiencies. Between 2014 and 2023, cumulative losses reached an estimated US\$5.3 billion, averaging over US\$500 million per year, equivalent to 0.7 percent of GDP and nearly matching the country's annual health sector budget.

ix. Over the past two decades, the DRC's SOE reform agenda has delivered incremental progress but has yet to translate into sustained operational improvements. Reform efforts evolved from post-conflict legal

restructuring toward a stronger emphasis on governance, transparency, and fiscal risk management. The 2008 law transforming public enterprises marked a critical milestone by clarifying mandates and introducing corporatization, though its impact remained largely institutional with limited operational gains to date. Subsequent reforms—including the introduction of performance-based contracts for selected strategic SOEs, the incremental disclosure of SOE-related fiscal risks, improved financial reporting, and greater shareholder oversight—strengthened corporate governance. While these efforts delivered meaningful improvements in the legal framework, overall outcomes remained mixed. Weak enforcement of laws and regulations, persistent structural inefficiencies, unresolved legacy liabilities, fragmented state oversight, and entrenched political-economic pressures have continued to weaken hard budget constraints and undermine sustained improvements in SOE performance.



x. **Financial distress is concentrated among a few large SOEs operating in key sectors, including SNEL (power), REGIDESO (water), SNCC (railways), ONATRA (railways and ports), and Gécamines (mining).** SOE debt increased from 5.7 percent of GDP in 2019 to 7.3 percent in 2023, representing 42 percent of external public debt. SNEL accounts for about 75 percent of total SOE debt, followed by Gécamines at 16 percent. Beyond explicit financial debt, many SOEs carry large social and fiscal obligations, including wage arrears exceeding 100 months in some cases, which further increase the country's implicit contingent liabilities. Liquidity constraints are acute across the SOE portfolio. Debtor turnover periods of more than 1,400 days point to chronic difficulties in billing and collection, including from public-sector clients. Creditor turnover periods—in some cases over three years or more—reflect a heavy reliance on arrears to sustain operations. Fiscal arrears owed by SOEs were estimated at around 1.6 percent of GDP in 2023, further complicating public financial management.

xi. **The poor financial outcomes of SOEs are rooted in deep governance failures.** State ownership function and oversight responsibilities are institutionally assigned to the Ministry of the Portfolio. However, in practice, other institutions — including sectoral ministries — continue to exert influence over the management of SOEs. Many SOEs lack competent and independent boards, and senior management selections often do not follow transparent, merit-based criteria. Financial reporting remains weak. In 2024, only 10 of the 20 major SOEs disclosed their financial statements, and over the past 5 years just 5 have done so consistently. Many SOEs operate without modern information systems or strong external controls.

xii. **The weak governance and poor financial and technical performance of SOEs entail significant macroeconomic consequences.** Unreliable and limited access to electricity raises costs for firms and undermines competitiveness; transport bottlenecks increase trade costs and constrain regional integration; unreliable water services disproportionately affect poor households (through

poor health outcomes and low labor productivity); and underperforming mining SOEs result in foregone revenues. As SOE losses accumulate, they narrow the fiscal space for priority spending on the social sectors and public investment while heightening debt risks, which imposes a major structural drag on growth and diversification.

xiii. **Improved management practices and workforce rationalization will mitigate fiscal risks and support productivity over the longer term.** Model-based simulations underscore the urgency of reform. In an adverse scenario in which all major SOEs comprehensively default on their debt-service obligations, the government could face costs of up to US\$179 million in a single year. Simulations suggest that improved management practices combined with workforce rationalization could reduce expected fiscal losses by US\$33-61 million per year among large SOEs. Over the long term, effective SOE reform could significantly increase total factor productivity and lift potential growth by about 2 percentage points above baseline projections.

xiv. **The international experience suggests that a coherent reform package could help strengthen the performance and governance of SOEs in DRC.** Greater professionalization of the state ownership function could clarify the government's role and limit discretionary intervention, while a clearer separation between commercial activities and public-policy mandates—supported by transparent budgetary compensation—could improve accountability. International experience shows that corporatizing SOEs under commercial law is generally accompanied by professional boards, hard budget constraints, cost-reflective pricing, and enhanced transparency, could further strengthen financial discipline and operational efficiency. Anchored in a credible medium-to long-term strategy, these measures could help align the SOE framework with international standards while supporting fiscal sustainability and service delivery. Further details on specific policy measures are included in Annex 1.



CHAPTER ONE

THE STATE OF THE ECONOMY AND OUTLOOK

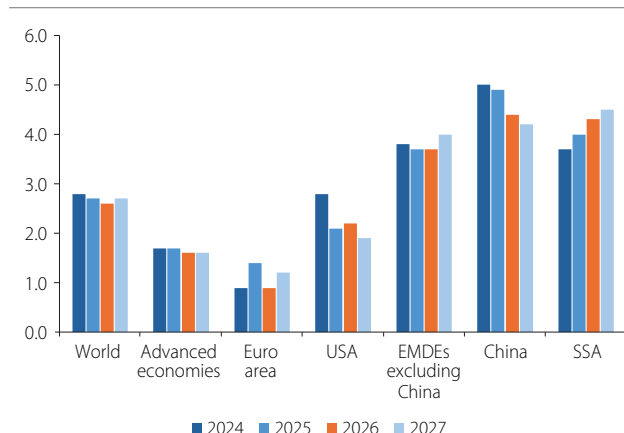
1.1 Recent economic developments

1.1.1 Global and regional trends

1. Despite heightened trade tensions and policy uncertainty, the global economy grew by an estimated 2.7 percent in 2025. Global economic resilience reflected a significant frontloading of trade, supply-chain adjustments, limited tariff pass-through effects, easing global financial conditions, and a surge in AI-related investment². Economic growth remained unchanged in advanced economies and slowed in emerging markets and developing economies (EMDEs) excluding China (Figure 1.1). China's growth is anticipated to moderate slightly—by 0.1 percentage points—to 4.9 percent as the adverse effects of higher trade barriers and weaker external demand are expected to be offset by additional fiscal support, though the implementation of U.S. tariffs will likely dampen export growth. By contrast, aggregate GDP growth in Sub-Saharan Africa (SSA) accelerated by an estimated 0.3 percentage points to 4 percent in 2025, supported by favorable terms of trade and limited exposure to U.S. tariffs. About half of the region's economies, including Benin, Guinea, and Ethiopia, saw their growth rates increase.

Global growth has edged down but remains resilient, while SSA economies have continued to expand.

Figure 1.1: Global and regional GDP growth rates, 2024–2027 (%)



Source: World Bank, *Global Economic Prospects*, January 2026.

2. Looking forward, while global economic activity is expected to slow as supportive factors fade, growth in SSA is projected to remain stable, with solid expansions in non-resource-rich countries. Global growth is expected to slow to 2.6 percent in 2026, leaving many EMDEs facing job-creation challenges for their growing working-age populations. However, growth in EMDEs excluding China is forecast to remain stable at around 3.8 percent in 2026 and 4.0 percent in 2027, reflecting continued improvements in investment, firmer consumption, and a rebound in trade and manufacturing. Meanwhile, China's growth rate is projected to moderate to 4.4 percent in 2026 and 4.2 percent in 2027 as potential output growth decelerates. Overall, SSA's economic growth rate is gradually returning to its pre-pandemic average. Regional growth is projected to reach 4.3 percent in 2026 and 4.5 percent in 2027, driven by a recovery in investment and exports. However, risks remain tilted to the downside due to the indirect effects of global trade policy uncertainty, weakening investor sentiment, and a shrinking supply of external financing, including limited scope for increased multilateral lending.

3. **Global consumer price inflation remained elevated in 2025.** Despite tighter monetary policies, rising tariffs and new economic shocks continue to put upward pressure on prices. Global headline inflation reached an estimated 3.2 percent in 2025, rising in some advanced economies but easing in most EMDEs. Global commodity prices fell by 7 percent in 2025 and are expected to drop by another 7 percent in 2026 but will remain about 20 percent above pre-pandemic levels. Pre-tariff stockpiling boosted copper prices in early 2025, and the price index rose by an estimated 6 percent over the year and is expected to continue climbing in 2026. Cobalt prices increased in 2025 but are expected to ease or remain broadly stable in 2026, with medium-term price dynamics shaped primarily by demand trends in electric vehicles and battery production. By contrast, prices for gold and other precious metals are expected to surge by more than 30 percent in 2026. Agricultural prices are expected to

² World Bank. 2026. *Global Economic Prospects*, January 2026. Washington, D.C.: World Bank Group. <https://documentsinternal.worldbank.org/search/40080951>

stay mostly stable due to strong harvests through 2027. Natural gas prices rose sharply in 2025, especially in the U.S., and the ongoing conflict in the Middle East has recently pushed crude oil prices over US\$100 per barrel, heightening downside risks to global economic activity.

1.1.2 Economic growth

4. **Economic growth moderated in 2025 as mining output slowed amid persistent security challenges.** Real GDP growth decelerated from 6.1 percent in 2024 to an estimated 5.5 percent in 2025, reflecting a slowdown in mining production linked to policy measures and ongoing insecurity in the eastern part of the country. Nevertheless, growth remained above the SSA average (Figure 1.2). Mining continued to drive economic activity, but a temporary ban on cobalt exports—introduced to address global oversupply—weighed on sectoral performance (Box 1.1). At the same time, the growth differential between DRC and non-resource-rich SSA peers widened, highlighting persistent structural vulnerabilities and the urgent need for economic diversification (Figure 1.3).

5. **The mining sector remained the engine of growth, while non-mining activity expanded at a more moderate pace.** Mining output increased by an estimated 8 percent in 2025, albeit down from almost 12 percent in 2024 (Figure 1.4). The sector's performance was supported by increased copper and gold production, which was largely unaffected by conflict dynamics, as well as a substantial rise in zinc output as the Kipushi mine reached full operational capacity. In 2025, copper production increased by 10.5 percent

year-on-year to 3.4 million tons, partially offsetting a contraction in cobalt output due to the temporary suspension of cobalt exports between February and October 2025. Non-mining growth remained broadly stable at around 3.1 percent, driven primarily by services and construction. Rising demand for connectivity and logistics services boosted activity in the transportation and telecommunications sectors, while construction benefited from ongoing infrastructure upgrades, including investments in roads and airport facilities.

6. **On the demand side, growth was supported by a recovery in private consumption and stronger export performance.** Easing inflationary pressures and a stable exchange rate in 2025—underpinned by tight monetary policy, the absence of monetary financing of the deficit, and reserve accumulation—helped stabilize real household incomes and supported a gradual rebound in private consumption in the wake of high inflation and currency depreciation (Figure 1.5). Export growth remained robust, driven by sustained global demand for minerals and ongoing expansions in copper production, notably at large-scale projects led by Canada's Ivanhoe Mines, including the Kamoakakula copper complex. These investments boosted foreign exchange inflows and reinforced the positive contribution of net exports to growth. However, strong import demand—reflecting both mining-related investment needs and the high import content of domestic consumption—continued to moderate the overall net export contribution to growth, underscoring the economy's reliance on the extractive sector and its exposure to external shocks.

DRC's growth has consistently outpaced the SSA regional average.

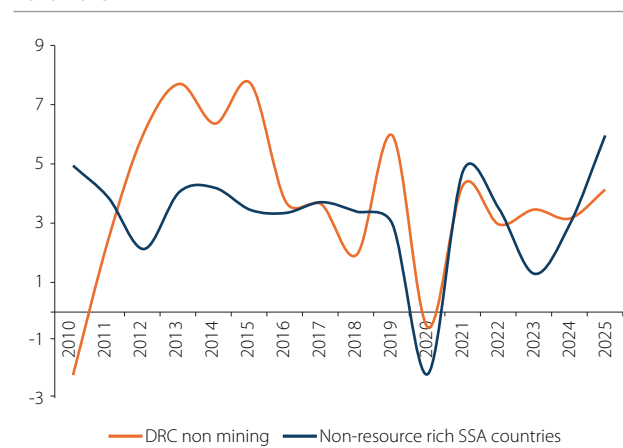
Figure 1.2: Real GDP growth, DRC and SSA, 2010-2025 (%)



Source: World Bank, *Global Economic Prospects*, January 2026.

The growth of the non-mining sectors mirrors trends in non-resource-rich SSA countries.

Figure 1.3: Non-resources GDP growth (in %), DRC and SSA, 2010-2025



Source: World Bank, *Global Economic Prospects*, January 2026.

7. **Despite an ongoing conflict in eastern DRC, business confidence remained upbeat in 2025.** The Central Bank of Congo (*Banque Centrale du Congo, BCC*) recorded a Business Confidence Index (BCI) score of 40.4 percent in December 2025, up 2.9 percentage points from December 2024 (Figure 1.6). Improved confidence was driven by robust activity in construction, manufacturing, services, and extractive industries, although sentiment weakened slightly in the electricity and water sectors. Overall, the sustained level of business confidence suggests that economic activity has remained resilient, even as security conditions continue to pose significant risks to investment and inclusive growth.

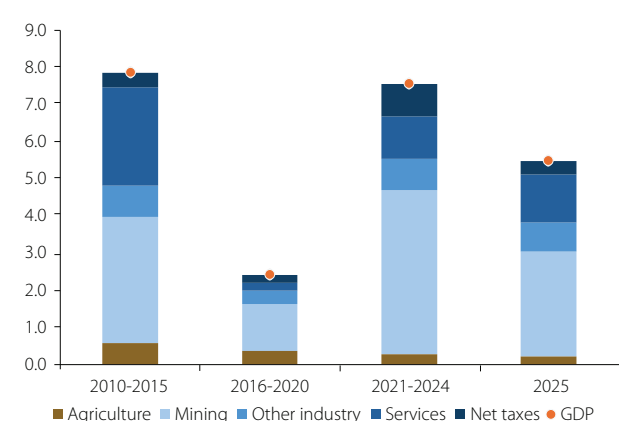
1.1.3 Growth without inclusion: The employment and poverty paradox

8. **Economic growth is not translating into sufficient job creation.** Due to limited structural changes in the

economy and rapid population growth, sustained growth has not translated into more or better jobs for most Congolese workers (Figure 1.7). Recent growth has been driven by capital-intensive mining. The mining sector grew at an average annual rate of 12.0 percent over 2011-2024, and in 2024 it represented 40 percent of total output but employed only about 2.6 percent of all workers, though an estimated 10 percent of the population receives income from the sector when artisanal small-scale miners are included. By contrast, sectors such as commerce (which employs about 14 percent of workers), and manufacturing (5 percent) have not expanded fast enough to absorb the country's rapidly growing labor force. As a result, economic growth is generating fewer jobs than in the past, pushing many workers into low-productivity activities and limiting improvements in living standards for most households.

The extractive industries and service sectors supported growth in 2025...

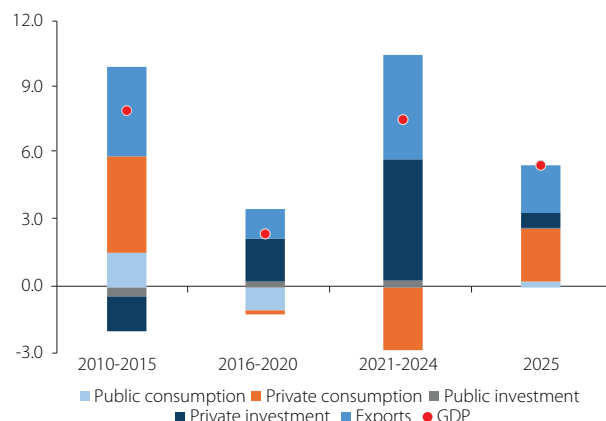
Figure 1.4: Contributions to GDP growth, supply side, 2010-2025 (%)



Source: Statistical Authorities and World Bank calculations.

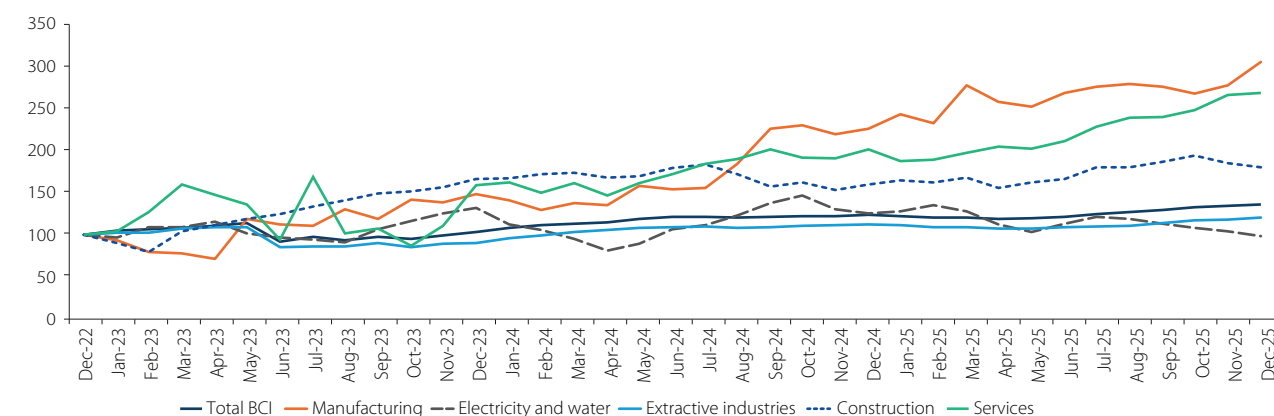
...with rising private consumption and stronger exports boosting demand.

Figure 1.5: Demand contribution to growth, 2010-2025 (%)



Source: Statistical Authorities and World Bank calculations.
Notes: Each demand component is net of its import content.

Figure 1.6: Business confidence index (%), Dec. 2022- Dec. 2025



Source: DRC Central Bank.

9. **Unemployment, underemployment, and economic precarity remain widespread.** Today, only 66 percent of the working-age Congolese are employed. The 2024 household survey found that 69 percent of these workers are self-employed, often in informal activities with low levels of productivity, while only 26 percent hold wage jobs. In rural areas, just 18 percent of workers are paid employees. Agriculture employs 58 percent of all workers, underscoring the slow process of structural transformation. These weaknesses in the labor market hinder poverty reduction and leave households vulnerable to shocks.

10. **Poverty rates remain high, and inequality is deepening as the benefits of growth are concentrated among a small share of the population (Figure 1.8).** Nearly 69 percent of Congolese live below the national poverty line of 2,068,239 Congolese francs (CDF), or US\$940, per capita per year. Poverty rates are highest in rural areas. Even resource-rich provinces continue

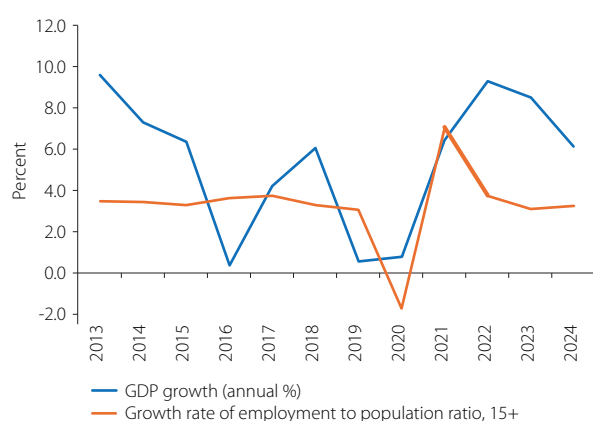
to experience widespread poverty, and in Kinshasa—where household incomes are higher than average—more than half of the population lives in poverty. At the same time, inequality is rising: consumption among the richest 20 percent of households is more than six times the level among the poorest 20 percent. Without structural change toward sectors that create broad-based employment—such as agribusiness, light manufacturing, and transportation and logistics—the benefits of growth will continue to accrue to a narrow share of the population, further deepening DRC's structural disparities.

1.1.4 The external balances

11. **The current account deficit narrowed in 2025 as surging copper exports more than offset the sharp decline in cobalt exports.** The deficit shrank from 4.2 percent of GDP in 2024 to an estimated 3.6 percent in 2025. A robust increase in copper export volumes and prices more than offset both the drop in cobalt exports.

Job creation growth has lagged GDP growth...

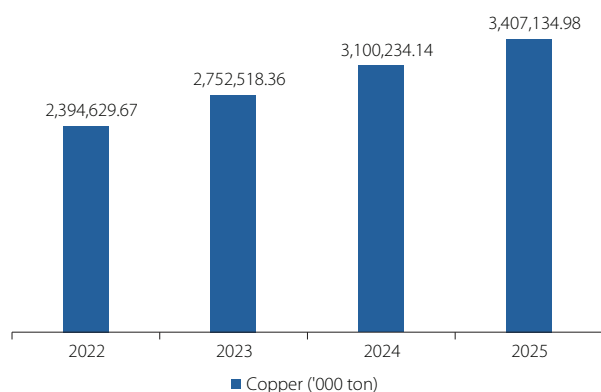
Figure 1.7: GDP and employment growth (%)



Source: World Bank calculations.

Copper exports rose sharply ...

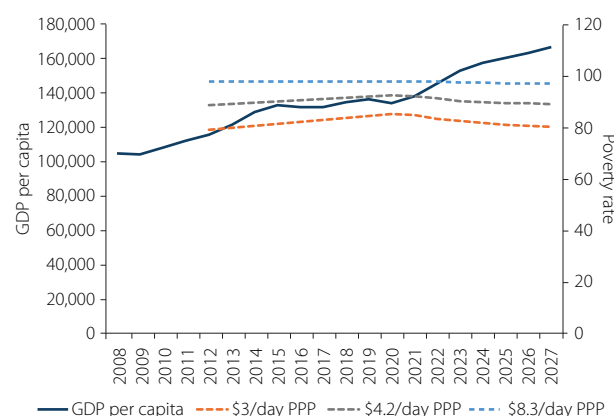
Figure 1.9: Copper exports (in tons), 2022-2025



Source: DRC Ministry of Mining.

...and poverty remains pervasive.

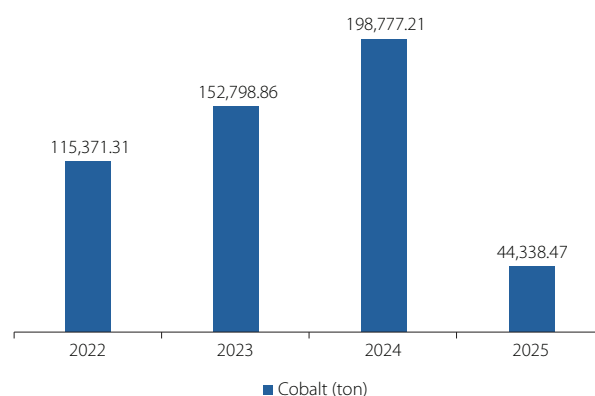
Figure 1.8: Actual and projected poverty rates and real GDP per capita



Source: World Bank calculations.

... offsetting the temporary cobalt export ban.

Figure 1.10: Cobalt exports (in tons), 2022-2025



Source: DRC Ministry of Mining.

In 2025, copper exports rose by 9.9 percent to over 3.4 million tons (Figure 1.9), while cobalt exports fell by about 78 percent (Figure 1.10 and Box 1.1). Total exports in 2025 are likely to exceed initial expectations, as elevated copper prices are expected to more than compensate for the loss

in cobalt export earnings (Figure 1.11 and Figure 1.12). In turn, imports of goods, especially capital goods for the mining sector and food products for consumers, rose by 3.7 percent over 2024 and amounted to a substantial 47.7 percent of GDP in 2025.

Box 1.1 DRC cobalt export temporary ban

In February 2025, the DRC authorities restricted cobalt exports to address oversupply and lift prices. After peaking at US\$81,540.5 per ton in April 2022, global cobalt prices fell sharply to US\$21,349 per ton by February 2025. This trend was driven by a combination of global oversupply, weaker industrial activity, especially in China, and a broad easing of base-metal markets despite ongoing investments in clean energy and strong electric vehicle sales. The decline greatly reduced potential fiscal revenues and export receipts. In response, the government temporarily suspended cobalt exports. As the DRC accounted for an estimated 76 percent of world cobalt mine production in 2024, the export suspension had a meaningful impact on prices.

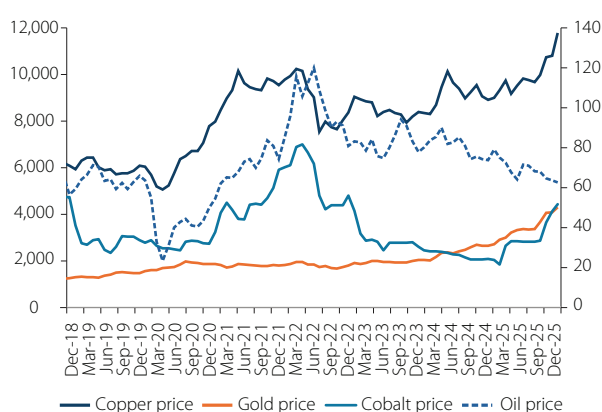
In late September 2025, the government lifted the export ban, and exports resumed in October, with company-specific quotas to avoid a sudden supply surge. Cobalt export quotas for Q4 2025 were set at 18,125.0 tons, but only 408.45 tons were exported, down from 53,324.5 tons in Q4 2024. As a result, prices increased by 44 percent to US\$30,810 per ton in March 2025 and surged to US\$51,647.4 per ton in Q4, up 142 percent from February.

Nevertheless, recent cobalt prices have remained well below their 2022 peak. At an average of US\$33,910 per ton, cobalt prices have continued to fall far short of their April 2022 high of over US\$80,000 per ton. The limited price recovery is largely explained by the persistence of excess inventories, the rapid expansion of alternatives (particularly nickel-based mixed hydroxide precipitate in Indonesia), and the acceleration of the transition to cobalt-free lithium ion compounds in the production of electric vehicle batteries, all of which have reduced pressure on the market for traditional cobalt-rich materials.³

Source: World bank staff

Copper and gold prices have remained strong ...

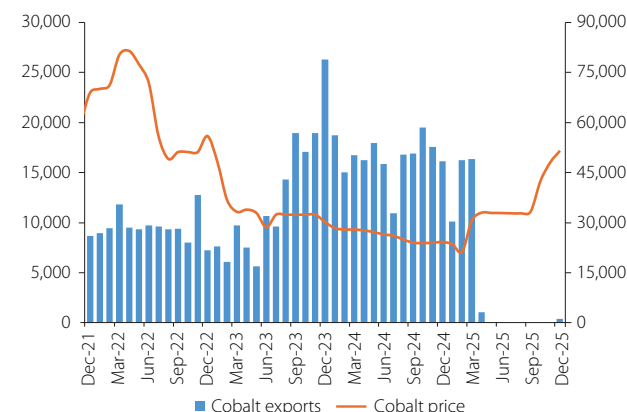
Figure 1.11: International prices of copper, cobalt, gold, and oil (US\$ per unit)



Source: World Bank, Commodity market outlook, 2025

... while the cobalt export ban caused a plunge in cobalt exports.

Figure 1.12: Cobalt price (US\$ per unit) and exports (per ton)



Source: World Bank, Commodity market outlook, 2025

³ Mixed hydroxide precipitate is an intermediate nickel product from laterite ores and some cobalt that is further refined into nickel sulfate (for batteries) or class-1 nickel products, while lithium-ion batteries use a lithium iron phosphate cathode.

12. In 2025, the current-account deficit was financed by foreign direct investment (FDI) and external support, boosting foreign reserves (Figure 1.13). After recovering from a decline in 2022, FDI accounted for 3.8 percent of GDP in 2024 and was estimated at about 3.1 percent in 2025, with developments in the mining sector driving these trends. At the same time, external financing—including World Bank Group and IMF support—have helped strengthening the country's reserve position. Foreign-exchange reserves increased from US\$6.2 billion at end-2024 to US\$7.9 billion at end-2025, representing almost three months of import coverage (Figure 1.14).

1.1.5 Fiscal balance and public debt

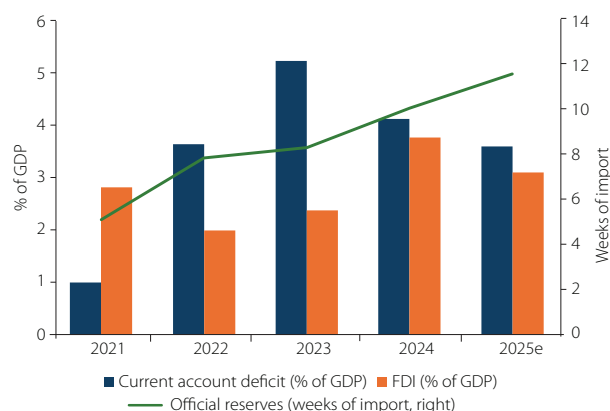
13. In 2025, the ongoing conflict in eastern DRC increased pressure on public finances and contributed to the deterioration of the fiscal deficit. Higher security spending contributed to the widening of the overall fiscal deficit (cash basis) from 1.9 percent of GDP in

2024 to an estimated 2.9 percent in 2025 (Figure 1.15). With no BCC financing, the government closed the gap through a combination of external budget support and domestic borrowing. The World Bank disbursed US\$600 million (equivalent to about 0.7 percent of GDP) in June 2025 under the first operation in a budget support series, while the IMF disbursed about 0.2 percent of GDP in budget support. Domestically, Treasury bills and bonds amounting to roughly 1.0 percent of GDP were issued in 2025, and the remaining financing gap was mostly closed with investment project loans.

14. Despite diminished tax revenue from conflict-affected areas, overall domestic revenue outperformed expectations. Revenues excluding grants declined slightly from 13.8 percent of GDP in 2024 to 13.5 percent in 2025 (Figure 1.17), reflecting the combined impact of security-related disruptions and policy measures. The eight-month suspension of cobalt exports reduced nontax revenue, while the conflict depressed tax revenue. The temporary closure

A narrower current-account deficit and rising external inflows boosted reserves ...

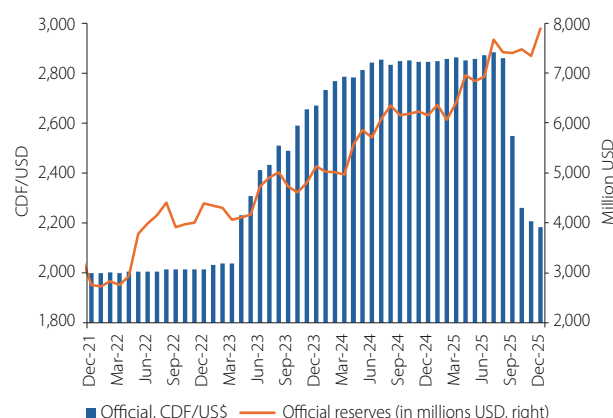
Figure 1.13: Current account deficit and FDI (% of GDP), and official reserves (weeks of imports)



Source: DRC Central Bank.

... strengthening the Congolese franc.

Figure 1.14: Official reserves (US\$ million) and the exchange rate (CDF/US\$)



Source: DRC Central Bank.

The fiscal deficit has worsened slightly...

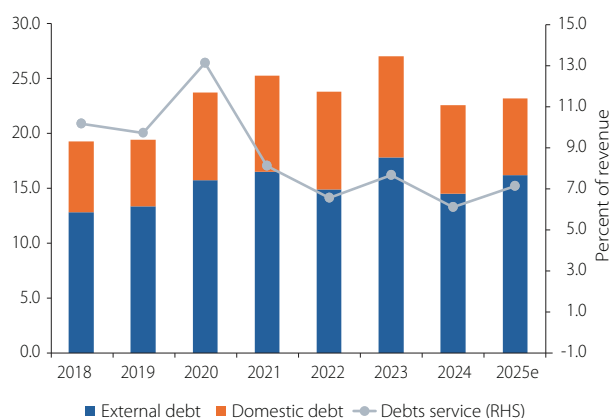
Figure 1.15: Revenue, expenditure, and the fiscal balance, 2021-2025 (% of GDP)



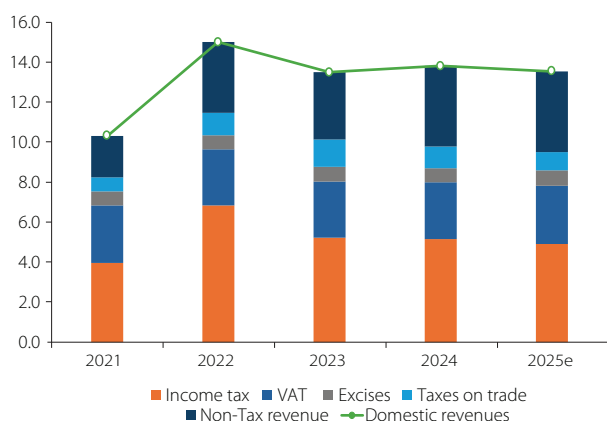
Source: DRC Ministry of Finance.

... but fiscal controls have kept the public debt stock low.

Figure 1.16: Public debt stock, 2018-2025 (% of GDP, unless otherwise indicated)



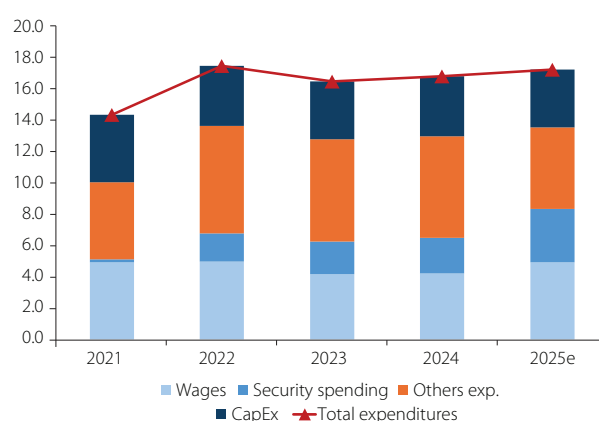
Source: DRC Ministry of Finance.

Domestic revenue remained steady ...**Figure 1.17: Domestic revenue composition, Dec. 2021-2025**
(% of GDP)

Source: DRC Ministry of Finance

of revenue-administration offices in North and South Kivu and subdued activity among Kinshasa-based firms, linked to the persistent insecurity in the eastern region, together accounted for an estimated revenue loss of about 0.5 percent of GDP. In addition, value-added tax (VAT) and customs duty exemptions on basic goods—introduced late in 2024 to mitigate rising living costs—resulted in foregone revenues of approximately 0.3 percent of GDP. Despite these adverse shocks, the overall revenue decline was contained, reflecting the authorities' sustained efforts to strengthen domestic revenue mobilization. These efforts included improvements in tax administration through digitalization, the gradual removal of VAT exemptions on fuel for large enterprises, and the rollout of a standardized VAT invoicing system, which partially offset revenue losses stemming from the security crisis and the cobalt export ban.

15. Amid rising insecurity, the government bolstered defense spending while also taking steps to maintain budgetary discipline. By December 2025, defense outlays had tripled year-on-year to 3.4 percent of GDP as the authorities responded to escalating insecurity (Figure 1.18). The government doubled the pay for army and police personnel to boost morale and reduce defections to the M23 rebel group, increased remuneration in the education and health sectors, and appointed new judges. Consequently, the public wage bill rose by 0.6 percentage points to 4.9 percent of GDP, accounting for almost one-third of total government spending. At the same time, the authorities enacted

... but security costs boosted expenditure.**Figure 1.18: Expenditure composition, Dec. 2021-2025**
(% of GDP)

Source: DRC Ministry of Finance

measures to preserve fiscal discipline, resulting in a fiscal saving of approximately 0.5 percent of GDP.⁴ These efforts included maintaining the cash-basis fiscal rule anchored on the 2020 memorandum of understanding and stability pact, which aimed at strengthening fiscal-monetary coordination and preventing deficit monetization. To better protect priority spending from volatile commodity prices and to reduce procyclicality, the authorities envisage adopting a resource-based fiscal framework. A roadmap, approved in March 2025, will guide the design of this framework and inform the preparation of the 2027 budget.

16. Prudent fiscal management has helped to keep the public debt stock low since the 2009 restructuring. Public debt stood at 22.5 percent of GDP in 2024—down 4.5 percentage points from 2023—and rose to an estimated 23.2 percent in 2025 as the government recognized previously uncertified domestic arrears and increased the use of Treasury bills and bonds (Figure 1.16). DRC's external debt reached 16.2 percent of GDP in 2025—representing about 70 percent of the total public debt stock—and was mostly owed to the IMF and World Bank. Domestic debt stood at 7 percent of GDP in 2025 and consisted mostly of domestic arrears that have accumulated since 2009, and Treasury bills and bonds issued since 2019. Overall, debt metrics are expected to remain solid, supported by efforts to curb fiscal slippages and by the government's limited borrowing capacity in domestic markets due to low levels of savings.

⁴ These measures include: (i) a reduction in spending on goods and services, including travels, representation, official missions, and bonuses, and a freeze on vehicle purchases; (ii) a 20 percent cut in the salary of senior officials and heads of institutions; and (iii) reduction in transfers and subsidies, notably those to state-owned enterprises.

17. Public debt is assessed to be sustainable, and the risk of debt distress is moderate, but debt dynamics remain vulnerable to swings in global prices for cobalt and copper. These fluctuations affect government revenue and complicate debt service. According to the June 2025 Debt Sustainability Analysis (DSA), the present value of the public debt-to-GDP ratio stood at 19.8 percent in 2024, well below the 35 percent benchmark, and is projected to decline to 13.2 percent by 2035. Still, risks are anticipated to persist amid slow progress in improving domestic revenue mobilization. The DSA confirmed DRC's moderate risk of debt distress and underscored the importance of stronger revenue collection and continued fiscal discipline to preserve fiscal space. The DSA also confirmed DRC's vulnerability to swings in global copper and cobalt prices, with debt-service indicators and the present value of the debt-to-GDP and debt-to-export ratios all breaching their respective thresholds under the most extreme shock scenarios. Given the narrow export base, unfavorable changes in commodity prices could substantially affect DRC's liquidity and limit the country's repayment capacity in the short term.

18. Notwithstanding favorable public debt indicators, SOEs are a critical source of fiscal vulnerability and a potential threat to macroeconomic stability. SOE debt increased from 5.7 percent of GDP in 2019 to 7.3 percent in 2023, or about 42 percent of external public debt. Liabilities are highly concentrated in a few enterprises, especially the National Electric Company (*Société Nationale d'Électricité, SNEL*), General Directorate of Quarries and Mines (*Générale des Carrières et des Mines, Gécamines*), and transport SOEs such as Air Traffic Control (*Régie des Voies Aériennes, RVA*) and the National Railway Company of Congo (*Société Nationale des Chemins de fer du Congo, SNCC*).

19. While DRC is at moderate risk of debt distress, a default on SOE debt service would substantially affect debt liquidity indicators. A complete default by the 11 largest SOEs would cost the government at least US\$179 million. Significant cross liabilities also persist, including SOE liabilities estimated at about US\$1.6 billion — half of which represents intra-SOE debt, while the remainder comprises wage arrears and

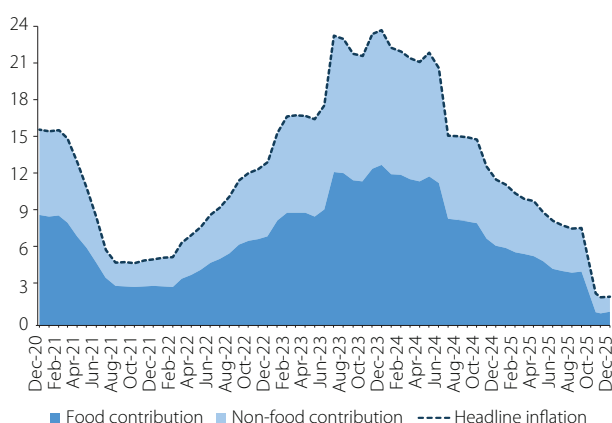
outstanding tax obligations. Beyond explicit debt, SOEs generate sizable quasi-fiscal losses through persistent operating deficits, tax arrears estimated at about 1.8 percent of GDP, and large social liabilities, including wage arrears that in some cases exceed 100 months of unpaid salaries. These weaknesses reflect persistent governance shortcomings, including unclear state ownership objectives, weak performance monitoring, nontransparent board appointments, and limited financial disclosure. Addressing SOE governance and performance is vital to safeguard fiscal resilience, preserve debt sustainability, and support productivity and growth. These issues are examined in depth in Chapter 2 of this report.

20. SOEs benefit from a set of explicit and implicit advantages that distort competition with the private sector. Subsidies, tax exemptions, preferential procurement, and sovereign guarantees enable SOEs to operate without fully internalizing commercial risks, while private entrants must bear taxes, market-based financing costs, and uncertainty in contract allocation. Although many of these advantages are not reflected on balance sheets, their economic impact is substantial, creating structural asymmetries that weaken competition and undermine private investment incentives.

1.1.6 Monetary policy and inflation

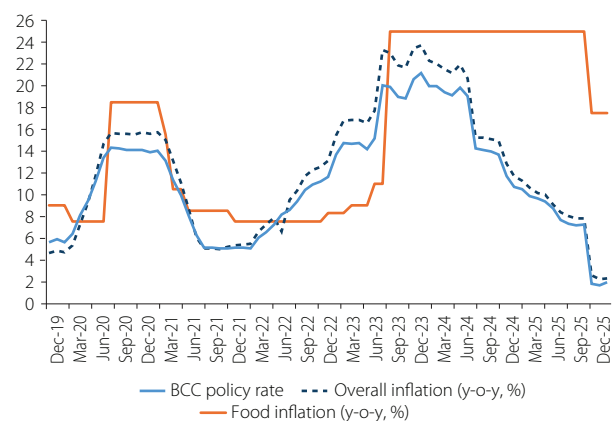
21. Currency appreciation, combined with lower global food and energy prices, led to a sharp drop in inflation in 2025. Headline inflation decreased from 11.7 percent at end-2024 to 7.8 percent in September 2025, and then fell to 2.3 percent at end-2025, well below the BCC target of 7.0 percent (Figure 1.19). This decline reflects the appreciation of the Congolese franc relative to the U.S. dollar due to pass-through effects, sustained tight monetary policy, and lower global prices for food and oil. Food-price inflation slowed from 10.7 percent at end-2024 to 2.0 percent at end-2025, driving roughly 70 percent of the overall inflation trend. As the currency strengthened, the government cut fuel prices in the western region and Kinshasa by 10 percent in October and 9 percent in November 2025 to lower transportation and production costs (Figure 1.20).⁵

⁵ Fuel pricing framework in DRC is differently set by the Ministry of Economy based on supply zones—typically West, East, South, and sometimes North—due to differing logistics costs and delivery distance to the final consumer in each area. Since the DRC is a net importer of petroleum, fuel prices are adjusted if changes are recorded on three key parameters (exchange rate, average price at the border, and fuel sales volume). Zones highly dependent on imports are particularly affected by depreciation of the CDF, which leads to higher retail prices.

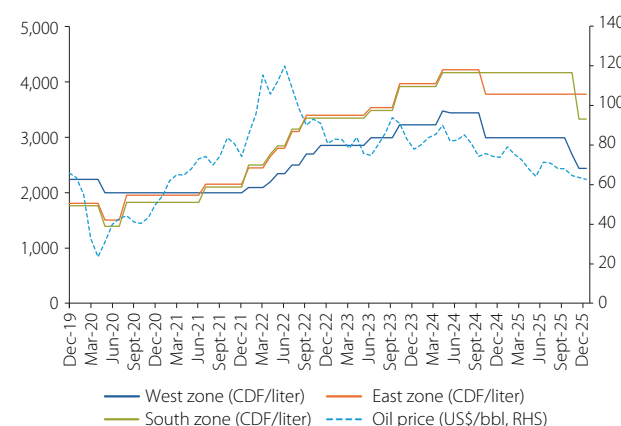
Inflation declined throughout 2025...**Figure 1.19: Consumer price index and food inflation, year-on-year (%)**

Source: BCC

22. As inflation was brought under control, the BCC gained the flexibility to ease monetary policy. The BCC held its policy rate steady at 25.0 percent from August 2023 to October 2025 to anchor inflationary expectations during an uncertain period (Figure 1.21). As inflation eased, the central bank cut its policy rate, first by 750 basis points to 17.5 percent in October 2025, and then by 250 basis points to 15 percent in January 2026 to support credit and investment. However, the monetary policy stance remained restrictive, and the real policy rate was still elevated at 15.2 percent at end-2025. The BCC also issued its own CDF-denominated bonds, which absorbed about CDF 1,102.3 billion, or 2.4 percent of broad money (M2) through December 3, 2025. By end-December, base money rose 7.8 percent year-on-year, while M2 contracted by 12.5 percent, tightening liquidity conditions even as lending to private enterprises and households increased. However, because the economy is highly dollarized, the transmission of monetary policy to domestic demand growth remained limited.

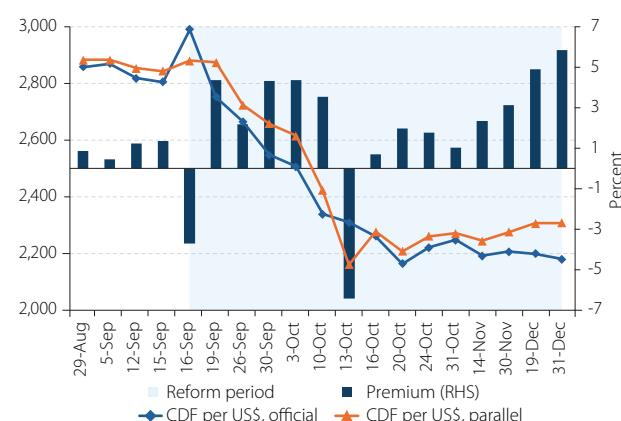
Consequently, the BCC eased its monetary policy stance in late 2025...**Figure 1.21: Central bank policy rate and year-on-year CPI inflation (%)**

Source: BCC

...supported by falling food and fuel prices.**Figure 1.20: DRC fuel pump prices vs global oil prices**

Source: World Bank calculations using data from Ministry of Economy

23. The exchange rate strengthened as monetary policy soaked up excess liquidity. After hovering around 2,850 CDF/US\$ for about 18 months, the CDF appreciated by 30.4 percent year-on-year in December 2025, reversing a 6.2 percent depreciation at end-2024 (Figure 1.22). The parallel-market premium was marginal, averaging 0.4 percent until end-August, before oscillating within a range of -6 to 6 percent in Q4 of 2025 due to speculative pressures. In DRC's dollarized economy exposed to global commodity swings, exchange-rate policy is central to inflationary dynamics. The currency appreciation reflected tighter CDF liquidity, resulting from an increased dollar supply due to stronger exports and external inflows combined with stepped-up enforcement of the increased reserve requirement and de-dollarization reforms (Box 1.2). BCC interventions of nearly US\$500 million improved the functioning of the foreign exchange market and supported the currency.

...and absorbed excess liquidity to support the Congolese franc.**Figure 1.22: Daily exchange-rate developments, Sept.-Dec. 2025**

Source: BCC

Box 1.2 Reserve requirements and their impact on the foreign-exchange market in DRC

In 2022, the BCC adopted a new reserve requirement (RR) framework for foreign-currency deposits. This reform replaced provisioning in domestic currency aimed with a statutory RR in deposit currency. The BCC had previously applied a fixed CDF/US\$ rate to calculate the RR for FX deposits, which contributed to liquidity imbalances and increased pressure on the currency. The new RR framework gradually phased out the portion fulfilled in local currency, starting with a 5 percent decrease in 2023, which led to a frozen stock of CDF 2,375.6 billion at a fixed exchange rate of 1,999.9 CDF/US\$. Under the new RR regime, liquidity in domestic currency has surged, and the BCC raised the key rate from 11 to 25 percent in August 2023 before increasing the RR on local currency sight deposits from 10 to 12 percent in July 2024 to absorb excess CDF liquidity.

The authorities have resolved to adjust the exchange rate applicable to the RR for foreign-currency deposits. With the CDF depreciating by 30 percent (to 2,850 CDF/US\$ in end-August 2024) the frozen stock of CDF-denominated reserves for foreign-currency deposits no longer met the 12 percent RR. The BCC therefore decided to gradually adjust the exchange rate in three phases, starting on September 15, 2025. The first phase targeted a rate of 2,400 CDF/US\$, consistent with the prevailing market rate, significantly increasing demand for CDF. The implementation of this decision coincided with the scheduled period for the payment of the second installment—representing 30 percent of the total due—of corporate income tax on profits, which further increased pressure on the CDF. This change resulted in the withdrawal of about CDF 371 billion (3.4 percent of the monetary base in September 2025) of a total CDF 900 billion targeted for the whole of 2025.

Strong demand led to sustained CDF appreciation, which sometimes triggered downward speculation. Following the BCC's move to align the exchange rate used for foreign-currency RR more closely with the prevailing market rate, FX pressures eased and the CDF appreciated, with the premium between the official and parallel market rates remaining low. The exchange rate appreciated rapidly, rising by 5 percent on average per day, which led to speculation among currency operators. However, it stabilized from October 16 onward due to regulatory measures implemented by the BCC and the greater alignment of foreign-currency RR with the prevailing market rate.

In line with the new FX framework, the authorities plan to continue updating the exchange rate for the frozen CDF-denominated RR for foreign-currency deposits. They plan to continue the gradual process of unfreezing these reserves and update the exchange rate applied to the frozen stock of RR held in CDF prior to end-2025. The aim is to make this exchange-rate update a regular action, and it will be combined with the foreign-exchange market intervention strategy adopted in January 2025 to maintain tight liquidity management, transparent FX interventions, and an active RR policy on foreign-currency liabilities. However, the process of unfreezing CDF-denominated RR will require banks to gradually replace them with foreign currency, which could result in an injection of CDF liquidity.

Source: World bank staff

1.1.7 Financial sector

24. The banking sector posted strong capital adequacy and profitability indicators in 2025 but remains small and concentrated. As of September 2025, bank assets were estimated at about US\$22.4 billion (27.2 percent of GDP) and deposits at US\$15.2 billion (18.4 percent of GDP), together making up roughly 93 percent of the financial system. Banks remained profitable and resilient, with a solid capital adequacy ratio of 14.9 percent in September 2025. Regulatory capital rose by 32.8 percent year-on-year to US\$2.23 billion. Non-performing loans (NPLs) stabilized at 7.0 percent of total loans, with provisions covering

about half. Profitability remains robust, with net income reaching US\$501 million in the first nine months of 2025, equal to 91.6 percent of the full-year 2024 results.

25. Nevertheless, structural barriers constrain credit growth. In nominal terms, total credit increased by 20.2 percent between end-2024 and end-2025 to US\$10.3 billion, equivalent to 11.1 percent of GDP. During 2020-24, credit levels consistently remained well below the SSA average (Figure 1.23). About 71.9 percent of total lending went to private firms, mainly in mining and telecoms. High risk kept household credit low at US\$1.7 billion. Financial dollarization remains

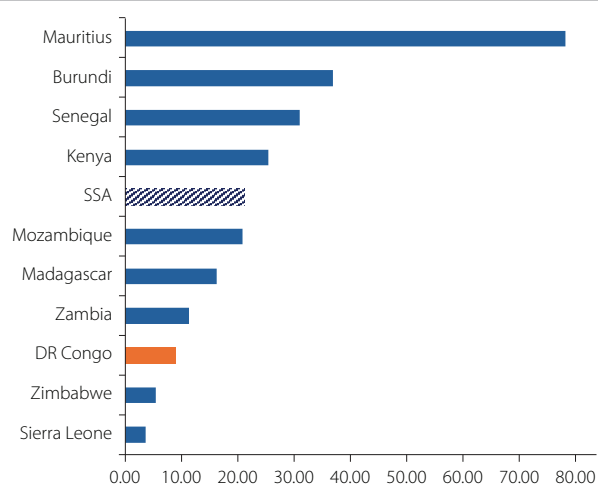
pervasive: 87.6 percent of deposits and 91.9 percent of loans are in foreign exchange and lack collateral. Access to financing is tight, especially for small businesses and households, with slow progress on the establishment of a fully operational movable collateral registry, a central credit registry, and private credit bureaus. In addition, due to limited investment opportunities and the absence of deposit insurance, lending rates stayed high in line with the policy rate (Figure 1.24), resulting in restricted access to credit.

26. Regulators are strengthening the resilience of the financial system, but this process entails risks.

In addition to its recapitalization, the BCC raised the minimum capital required for commercial banks from an initial US\$2 million in 2016 to US\$50 million under the 2022 Banking Law and related regulations. Microfinance institutions were required to reach US\$700,000 in capital by July 2025. Furthermore, amendments to the banking law (the Katuala Law), enacted in December 2025, streamlined shareholder requirements by reducing structural constraints and bringing the regulatory framework closer to international standards. The minimum number of shareholders per credit institution was reduced from four to two, and the minimum requirement of 15 percent shareholding per investor was eliminated. These changes are intended to modernize the banking sector and ease the entry and expansion of new investors and banking groups.

Bank loans in DRC remain rare...

Figure 1.23: Credit to the private sector, 2020-24 (% of GDP)



Source: IMF SSA REO October 2025

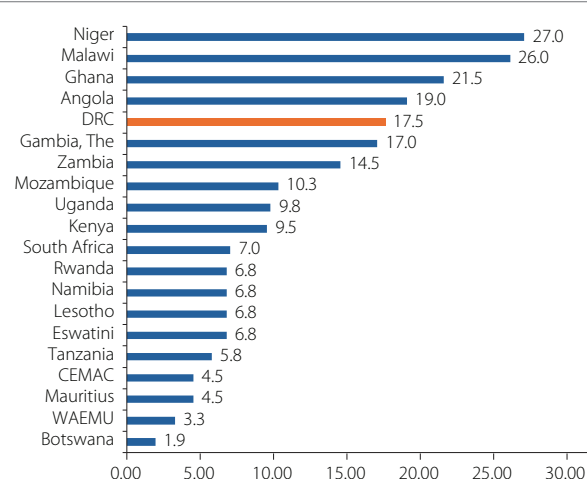
1.2 Growth outlook

27. **The real GDP growth rate is projected to remain above the SSA average, but the outlook hinges on domestic reforms and global trends.** GDP growth is projected to average 5.1 percent in 2026-28 (Annex 2). Mining is expected to remain the main driver of growth and will be influenced by operations at the Kamoakakula, Tenke Fungurume, and KFM copper and cobalt sites. The contribution of non-extractive sectors to growth is expected to increase through 2027. Services, manufacturing, and construction are set to gain momentum, supported by large infrastructure projects such as the World Bank-backed INGA3 hydropower plant and Lobito corridor project. Investments in roads and electricity are expected to expand access and spur private investment, supporting diversification and resilience. Favorable commodity-price forecasts are expected to incentivize strong mining investment, mostly through capacity expansion.

28. **Inflation is projected to ease further as global inflationary pressures moderate and the CDF remains stable.** A strong external position and no monetary financing of the fiscal deficit should support currency stability and keep inflation below the 7 percent medium-term target. Inflation is expected to remain below 7 percent in 2026, with international food and energy prices having a moderate pass-through effect on domestic prices.

...hampered by high interest rates.

Figure 1.24: Monetary policy rates in SSA, 2025 (%)



Source: World Bank. 2025. Pathways to Job Creation in Africa. Africa's Pulse, No. 32 (October 2025)

Note: Data was last updated on September 24, 2025.

29. **Fiscal consolidation is expected to continue despite challenges around revenue mobilization and expenditure pressures.** The fiscal deficit is projected to decline to 1.5 percent of GDP by 2028, driven by digital tax reforms and tighter spending controls. Insecurity and conflict—especially in the eastern provinces—will continue to weigh on the outlook as efforts to restore state authority persist. The 2026 Budget (Box 1.3) will be financed through a combination of domestic borrowing and external financing.

30. **The government's borrowing plans emphasize non-monetary deficit financing and the implementation of reforms consistent with World Bank budget support operations and the IMF Extended Credit Facility (ECF) and Resilience and Sustainability Facility (RSF).** The public debt stock

is projected to decline to 22 percent by 2028, with a moderate overall risk of debt distress. However, limited repayment capacity remains a key vulnerability despite relatively low public debt levels.⁶

31. **The external position is likely to improve as exports and FDI rise.** The current account deficit is projected to narrow from 3.6 percent of GDP in 2025 to around 2.4 percent in 2026 and 2027, as increased prices for copper and cobalt are anticipated to compensate for reduced export volumes resulting from the quota system for cobalt. Higher mining output and favorable terms of trade will lift exports, while lower food and energy prices are expected to contain overall imports. FDI and external financing are expected to contribute to an increase in reserves to around three months of import coverage by 2027.

Box 1.3 The 2026 Budget Law

The 2026 Budget Law was promulgated at CDF 54,335.8 billion (about US\$22 billion or 20.2 percent of GDP). It is anchored on macroeconomic stability and aligned with the IMF-supported program and the implementation of structural reforms. The macroeconomic framework assumes a real GDP growth rate of 5.3 percent and an inflation rate of 4.4 percent. Budget priorities focus on security and the social sectors, including education and health. The overall fiscal deficit is projected at about 4.2 percent of GDP and will be financed through domestic borrowing and external loans.

Domestic revenues are projected to increase by 0.1 percentage points of GDP to 14.3 percent in 2026, driven mainly by higher tax revenues, which are expected to rise from 9.5 percent to 10 percent of GDP. Corporate income tax and VAT account for about 69.7 percent of total revenue. Non-tax revenues are projected to decline by 6.9 percent to 2.3 percent of GDP. Revenue performance is supported by ongoing reforms, including standardized VAT invoicing, the rationalization of tax exemptions, the elimination of fuel subsidies for mining companies, and enhanced monitoring of multinational enterprises through secure electronic invoices for transfer-pricing documentation. The budget also establishes a Strategic Investment Fund financed by royalties and selected commissions, introduces carbon- and deforestation-related taxes, and strengthens small-business income tax collection. Grants are projected to decline sharply, from 3.6 percent of GDP in the 2025 budget to 1.4 percent in 2026.

Total expenditures are projected at 20.2 percent of GDP, a decline of 0.3 percentage points of GDP relative to the 2025 budget. This adjustment reflects a reduction in capital spending from 6.9 percent of GDP to 5.9 percent, while current expenditures will continue to account for about 71 percent of total spending, driven in part by a wage bill equal to 5.0 percent of GDP. Capital expenditures were compressed to accommodate persistent exceptional spending pressures, notably for security and humanitarian operations, estimated at 2.5 percent of GDP (about 12.3 percent of total expenditures). From a sectoral perspective, the 2026 budget prioritizes security and human capital development. General public service⁷ account for the largest share of total spending at 28.4 percent, followed by security at 15 percent, and education and health at 12 percent each.

Source: World Bank staff

⁶ The most recent Debt Sustainability Analysis (June 2025) projects that the external and overall risk of debt distress will remain moderate, but DRC's vulnerability to commodity price volatility is reflected in the breaching of thresholds by the debt-to-GDP and debt-to-exports ratios, as well as debt service indicators under the most extreme shock of lower nominal exports. The present value (PV) of public debt-to-GDP ratio at 19.8 percent of GDP in 2024, well below the 35 percent threshold, and is projected to decline steadily to 13.2 percent by 2035.

⁷ General public service includes executive and legislative institutions, General services of the administration, Basic research and public debt services.

32. Poverty is projected to decline as inflation eases, but gains will be gradual. Persistent inflation has strained purchasing power, and moderating prices should contribute to a slow decline in the poverty rate. Under the international poverty line of US\$3.00 per person per day (in 2017 purchasing-power-parity terms), the poverty rate is projected to fall from 81.7 percent in 2024 to 80.1 percent by 2027, underpinned by favorable growth prospects. Faster progress will require channeling natural resource revenues into pro-poor investment, keeping inflation in check, and strengthening positive spillovers from the mining sector to the rest of the economy.

33. Risks to the outlook are significant. Key downside risks include volatile commodity prices, weak growth among major trading partners, and ongoing insecurity in eastern DRC. A drop in copper prices would sharply cut export revenues, strain foreign exchange inflows, and complicate fiscal management. Slower growth among major trading partners would reduce demand for DRC's exports. The ongoing conflict in the Middle East has already caused oil prices to spike, and a further deterioration of geopolitical conditions could disrupt trade and investment and dampen investor confidence. Additional pressures such as inflationary spikes, climate shocks, health crises, political unrest, or the need for tighter monetary policy could further constrain policy space and hinder growth.

1.3 Macroeconomic policy recommendations

34. A strong and sustainable macroeconomic framework is vital to reinforce stability. The priorities identified in the previous edition of the DRCEU (World Bank, 2025) remain highly relevant. Strategic priorities center on maintaining macroeconomic stability, reducing domestic and external vulnerabilities, and creating a more attractive environment for investment and sustained growth. Achieving these goals will require:

- Focusing government spending on essential public services and key infrastructure projects to meet urgent needs and lay the groundwork for sustainable growth;
- Mobilizing revenues and strengthening fiscal sustainability by broadening the tax base, improving collection efficiency through modernization, and reducing exemptions;

- Advancing fiscal decentralization by strengthening local fiscal autonomy and capacity;
- Ensuring price stability and confidence in the CDF by bolstering BCC's credibility, allowing greater exchange-rate flexibility, and steadily de-dollarizing the economy; and
- Building resilience against future shocks by strengthening macro-prudential regulations and countercyclical policies while continuously reinforcing the domestic financial system.

35. Medium-term policies should focus on economic diversification, sustainable growth, and stronger fiscal management. As set out in the DRC Country Economic Memorandum (World Bank, 2023a), comprehensive economic reforms are necessary to foster a diversified growth model. Key measures include: (i) improving business regulation; (ii) enhancing access to finance for small and medium enterprises; (iii) investing in human capital development to boost productivity and innovation; and (iv) encouraging value-chain development, particularly in the agribusiness and mining sectors.

36. Despite relatively strong GDP growth and improved macroeconomic stability, deep-seated structural weaknesses—including the persistent underperformance of SOEs—continue to impose binding constraints on sustainability and inclusion. Gaps in electricity, transport, water, and logistics services continue to raise production costs, limit private-sector expansion, and narrow the available fiscal space. These challenges are closely linked to the SOEs that dominate key sectors, many of which accumulate losses, arrears, and debt while delivering low service quality and represent a growing source of fiscal risks. The following chapter examines the structure, performance, and governance of SOEs, assesses their fiscal and macroeconomic implications, and explores how targeted reforms could strengthen growth, resilience, and poverty reduction.



CHAPTER TWO

STRENGTHENING SOE GOVERNANCE TO SUPPORT ECONOMIC GROWTH

37. **The international experience shows that SOEs can support economic development, particularly in countries with limited financial market depth, constrained private capital flows, or significant investment barriers.** In many developing economies, SOEs have played a central role in structural transformation by providing essential infrastructure and services—such as electricity, water, transportation, finance, and extractive activities—that underpin private-sector growth but require large upfront investments and long payback periods. By operating in these strategic sectors, SOEs have helped address market failures, mobilize investment at scale, and facilitate economic coordination where private markets were underdeveloped.⁸

38. **Beyond infrastructure provision, SOEs have also been used as vehicles for industrial policy.** In several countries, they have supported the development of upstream and downstream linkages, facilitated technology transfer, and played a catalytic role in export-oriented growth. When aligned with national development objectives and embedded in a coherent policy framework, SOEs can contribute to productivity growth, job creation, and economic diversification.

39. **For SOEs to function efficiently, they must comply with good international practices on corporate governance.** When governed by market principles, SOEs can compete effectively with private firms and achieve their policy objectives without distorting market competition. For example, government-linked companies in Singapore, such as Singapore Airlines and PSA International, operate successfully under commercial law, with independent boards and merit-based management. Similarly, Morocco's OCP Group became a globally competitive fertilizer producer through corporatization, managerial autonomy, and adherence to financial standards. Vietnam's

reforms—marked by reduced state ownership and greater exposure to competition—also improved the performance of restructured SOEs, including the telecom companies VNPT and Viettel, contributing to higher productivity and export growth.⁹

40. **In DRC, SOEs have largely failed to fulfill their development mandate and have instead become a source of fiscal risk.** The limited impact of SOEs on economic growth reflects persistent weaknesses in key enabling sectors. Electricity, water, transportation, and logistics services remain costly, unreliable, and unevenly accessible. These deficiencies have imposed high economywide production costs, undermined competitiveness, and hindered firm expansion—particularly in agriculture, manufacturing, and services. As these enabling sectors are dominated by SOEs, their weak performance represents a critical constraint on growth, diversification, and poverty reduction.

41. **SOEs operate in multiple key sectors of the Congolese economy, with a substantial number active in mining and manufacturing, but their net book asset value is concentrated in the energy and transportation sectors.** As of December 2025, the state's direct portfolio included 33 SOEs (Figure 2.1). Of these, 22 were wholly owned by the state and 11 were partially state-owned companies in which the state held a majority stake.¹⁰ According to the 2023 Annual State Shareholder Report by the Ministry of Portfolio, the SOE portfolio's net assets¹¹ were estimated at about US\$13.5 billion in 2023, equivalent to about 20 percent of GDP. When classified by economic activity, indicative value was concentrated in the electricity and energy and transportation and communications sectors, where aggregate net assets represented about 54 percent and 33 percent of total SOE net assets, respectively (Figure 2.2).¹²

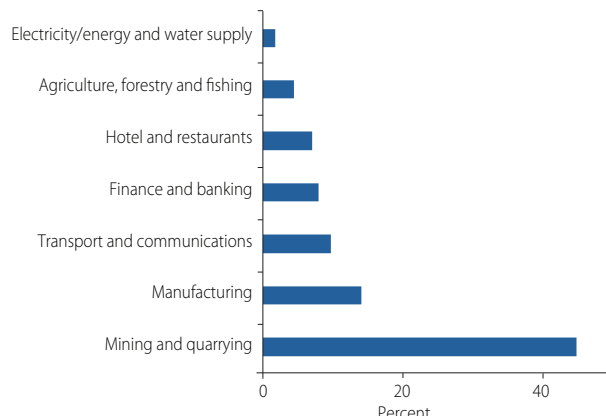
⁸ World Bank (2023b) and World Bank (2020).

⁹ Officially Viettel Military Industry and Telecoms Group is a Vietnamese state-owned multinational conglomerate operating under the direct administration of the Ministry of National Defense.

¹⁰ This figure does not include mixed-ownership companies or other forms of state participation in institutions, which may also form part of the state portfolio.

¹¹ Net asset is the difference between the total assets and the total outstanding debts recorded in the balance sheet.

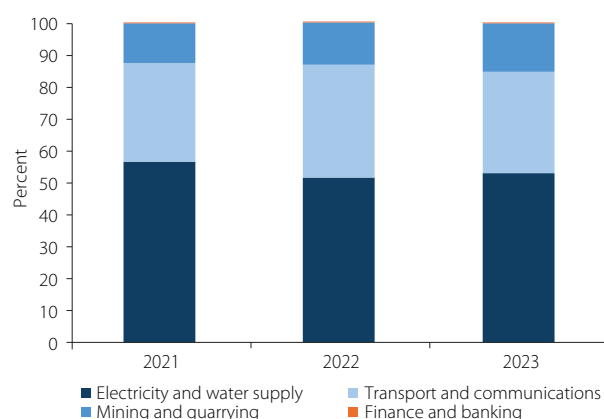
¹² This estimate is based on around 20 SOEs that regularly submit financial statements to the Superior Portfolio Council and may understate the total portfolio value (Annex 3).

Most Congolese SOEs operate in the mining sector...**Figure 2.1: Distribution of SOEs by economic activity, 2023**
(% of total number of SOEs)

Source: Ministry of Portfolio, Annual report of the state shareholder, 2023.

42. Over the past decade, the government has made progress in strengthening the SOE governance framework. Key advances include the modernization of public procurement systems, limited improvements in financial transparency—such as the publication of selected SOE financial statements and their partial inclusion in recent finance laws—as well as early, incremental efforts to professionalize leadership appointments. World Bank development policy operations have supported the introduction of competitive, merit-based recruitment processes for senior management in selected strategic SOEs such as SNEL and REGIDESO. However, these developments remain nascent and uneven, and they do not yet constitute a sufficiently robust foundation for sustained improvements in SOE governance and performance.

43. In parallel, some adjustments have been made to the governance framework, including the reintroduction of performance contracts for selected large utilities and efforts to strengthen ex ante and ex post controls by oversight institutions. In practice, however, these measures remain unevenly applied and have so far achieved limited traction beyond a small subset of SOEs. While they reflect an attempt to improve practices relative to a very low baseline, they have not translated into sustained financial improvements, meaningful changes in operational behavior, or measurable gains in service delivery across the SOE portfolio. Overall, incomplete reform implementation, weak enforcement, and constrained institutional capacity limit the impact of recent initiatives, highlighting the need for more focused, better-sequenced efforts targeting the most economically significant SOEs and addressing the binding governance and financial constraints they face.

...but SOE net assets are concentrated in the electricity and water sectors.**Figure 2.2: Net assets of 20 SOEs by economic activity, 2021-2023**
(% of total net assets)

Source: Ministry of Portfolio, Annual report of the state shareholder, 2023.

44. This chapter contributes to the limited literature on SOEs in DRC and demonstrates that SOE reforms have the potential to stimulate growth and alleviate poverty. The analysis finds that SOE reforms could raise the GDP growth rate by 2 percentage points over the long term under the most ambitious scenario and by 0.4 percentage points under a more moderate reform scenario relative to a business-as-usual baseline. These gains could cause the national poverty rate to decline by 10 percentage points under the most ambitious scenario and by 2.5 percentage points under the moderate scenario. In the near term, however, SOE workforce rationalization is not expected to alter the national poverty rate significantly and would likely have only modest effects on the income distribution.

45. This chapter provides an overview of the status of the country's SOEs and examines the fiscal risks they pose. Section 2.1 reviews lessons learned from previous SOE reform efforts in DRC. Section 2.2 surveys the SOE landscape, while Section 2.3 examines selected SOEs in greater detail. Section 2.4 explores SOE corporate governance issues, and Section 2.5 analyzes fiscal risks and costs. Section 2.6 presents the results of simulated SOE reforms on GDP growth and poverty, and Section 2.7 provides case studies of successful SOEs and SOEs governance frameworks in Brazil, Côte d'Ivoire, Malaysia, Morocco, and Vietnam before concluding with a set of policy options. While an analysis of the economic impact of SOEs would be relevant for DRC, a thorough evaluation of SOE-related competition issues is beyond the scope of this report.

2.1 Lessons from previous SOE reform efforts in DRC

2.1.1 Recent SOE reforms

46. **Over the past two decades, the SOE reform agenda has evolved from post-conflict legal restructuring toward a stronger emphasis on governance, transparency, and fiscal risk management. Successive reform waves—implemented in the context of macroeconomic stabilization and sustained engagement with international partners, notably the World Bank and IMF—have increasingly focused on mitigating the fiscal and macroeconomic risks associated with SOEs.** The enactment of the 2008 law on the transformation of public enterprises overhauled the legal framework governing SOEs. The law mandated that public enterprises be converted into commercial companies subject to private law, converted into noncommercial public establishments, or liquidated if they lacked a clear economic justification. While the reform agenda was intended to clarify mandates, strengthen commercial discipline, and better align SOEs with market principles, its effects have so far been concentrated mainly at the legal and institutional level, with limited short-term impact on operational performance. Several core issues remain largely unaddressed, notably the fact that SOEs perform quasi-fiscal functions and deliver goods and services below cost-recovery levels, often without budgetary compensation for those with public service obligations.

47. **The reform agenda has increasingly prioritized corporate governance reforms and enhanced disclosure of SOE-related fiscal risks to improve overall fiscal transparency.** From the mid-2010s onward, the reform agenda increasingly focused on corporate governance and fiscal risk concerns. World Bank budget support operations supported measures to improve financial reporting, required the publication of audited accounts and strengthened shareholder oversight through the High Council of Portfolio (*Conseil Supérieur du Portefeuille, CSP*). The authorities have established dedicated oversight institutions, notably the High Council of Portfolio (CSP), and reform institutions, including the High Council of Portfolio (CSP) and the Committee for Piloting Public Enterprise Reform (*Comité de Pilotage de la Réforme des Entreprises Publiques, COPIREP*), under the Ministry of Portfolio. With technical assistance from development partners, reform efforts have emphasized corporatization, the

formal separation of boards and management, and the introduction of performance contracts between the state and selected strategic SOEs. These contracts are intended to clarify mutual obligations, improve accountability, and stabilize the financial position of key enterprises, particularly in utilities, transport, and mining. More recently, reforms expanded to include the systematic identification and reporting of SOE-related fiscal risks, including the publication of consolidated information on SOE debt and liabilities, marking an important step toward improved fiscal transparency.

2.1.2 Successful reforms

48. **While overall outcomes have been mixed, tangible progress has been made in some reform areas.** One notable achievement has been the establishment of a clearer legal and institutional framework for SOEs. The corporatization process, despite its limitations, created a more coherent classification of public entities and partially clarified the distinction between commercial and non-commercial activities. This legal clarity laid the groundwork for subsequent governance and transparency reforms.

49. **Furthermore, progress was achieved in improving fiscal transparency through strengthened collection, consolidation, and publication of SOE financial and debt information.** Over time, the authorities have enhanced their capacity to collect, consolidate, and publish financial information on SOEs. The inclusion of consolidated SOE financial data as annexes to the budget law and the publication of SOE debt bulletins significantly improved macro-fiscal surveillance and informed policy discussions on fiscal risks by improving transparency around the scale of fiscal exposure linked to public enterprises.

50. **In a limited number of cases, reforms contributed to partial operational stabilization.** In the energy and water sectors, targeted governance and investment support helped stabilize service provision and mobilize external financing, particularly through improved coordination with large industrial clients. In the mining sector, some SOEs, notably Gécamines, succeeded in increasing revenues through partnerships and joint ventures, even though core production performance remained weak. These examples illustrate that progress was possible when reforms aligned incentives and mobilized credible financing.

2.1.3 Challenges and setbacks

51. **Despite these advances, many reform initiatives have failed to achieve their intended objectives.** Performance contracts between the state and SOEs, while conceptually sound, have often proved ineffective in practice. A lack of enforceability, clear sanctions for noncompliance, and credible incentives resulted in limited behavioral change at the enterprise level. In many cases, contracts became formal reporting exercises rather than genuine tools for accountability.

52. **Structural inefficiencies within SOEs have also proved resistant to reform.** Overstaffing, high wage bills, weak commercial orientation, and persistent operational losses are widespread, particularly in transportation and utility SOEs that are subject to significant public service obligations (PSO) that are not systematically calculated, accounted for, and reimbursed through the budget. Corporatization did not translate into hard budget constraints, as many enterprises continued to rely on state support, arrears accumulation, and implicit subsidies. As a result, the fiscal burden associated with SOEs remains substantial.

53. **Moreover, the reform process failed to adequately resolve legacy financial and asset-related issues.** The absence of clear asset inventories, unresolved cross-debts between SOEs and the state, and large unfunded liabilities undermined balance sheets and limited access to financing. Without a comprehensive financial restructuring and PSO reform, many SOEs entered the corporatization phase with weak fundamentals that reduced the credibility and sustainability of reforms.

2.1.4 Factors contributing to the failure of specific reforms

54. **The limited effectiveness of past SOE reforms reflects deep political-economy constraints.** SOEs have long played a dual role as providers of public services and instruments of social and political policy, particularly through employment and price controls (e.g., SNEL and REGIDESO). This dual mandate has complicated efforts to impose commercial discipline and weakened political commitment to enforcing hard budget constraints, especially when reforms have threatened employment, the distribution of rents, or the delivery of services below cost recovery levels.

55. **Political incentives continue to undermine SOE governance.** Weak legal and oversight frameworks have left SOEs highly vulnerable to political interference. Appointments, recruitment, and managerial decisions are shaped less by merit than by competition among elites for control over resource rents and incentives to use SOEs as extensions of ministries and instruments for rent distribution weaken efforts to improve service delivery and operational performance. This pattern is reflected in governance diagnostics: despite modest gains in DRC's overall Country Policy and Institutional Assessment (CPIA) ratings since 2022, the indicator on "state capture by narrow vested interests" remains the country's lowest score and has been broadly unchanged over time, highlighting the persistence of entrenched political-economy constraints. The 2025 Risk and Resilience Assessment (RRA) describes how fragmented elites compete for access to resource rents—often referred to locally as "a piece of the cake"—and rely on patronage-based concessions rather than development outcomes to maintain political support.

56. **Institutional weaknesses further inhibit SOE reform.** The state's ownership and oversight functions remained fragmented, with limited coordination between the Ministry of Portfolio, line ministries, and the Ministry of Finance. Organizational fragmentation even within the Ministry of Portfolio, capacity constraints, and the absence of clear performance and accountability frameworks hindered effective performance monitoring, strategic guidance, and the enforcement of governance standards. In this context, the formal approval of reforms often outpaces the state's ability to implement and sustain them.

57. **Finally, weaknesses in reform sequencing undermine implementation.** Legal changes enacted before resolving financial, operational, and governance constraints resulted in de jure corporatization that had a limited impact in practice. Without prior organizational and financial restructuring or credible enforcement mechanisms, reforms lost momentum, faced resistance from vested interests, and were vulnerable to reversal during periods of political transition.

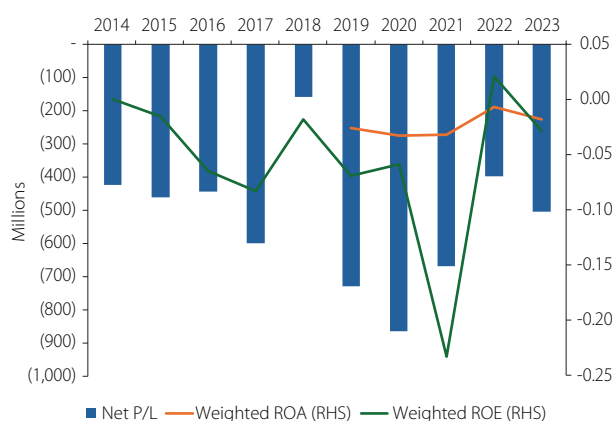
2.2 The SOE landscape in DRC

58. **Annual SOE losses averaged about US\$532 million during 2014-2023.**¹³ Over this period, cumulative losses totaled approximately US\$5.3 billion. In 2023 alone, SOE losses reached US\$510 million — equivalent to 0.7 percent of GDP, nearly 6 percent of tax revenues, and roughly the entirety of the health sector budget (Figure 2.3).¹⁴ Over two-thirds of SOEs for which data are available reported losses in 2023, down from 82 percent in 2014, but this apparent improvement should be interpreted with caution, as 20 percent of SOEs did not report financial data in 2023 (Figure 2.4). The largest losses were reported in energy (SNEL), transport (RVA, SNCC, and ONATRA), and water (REGIDESO), i.e. SOEs that are subject to significant public service obligations.¹⁵ Gécamines reported the largest profit.

59. **Poor SOE performance can be partially explained by weak operational efficiency.** Several SOEs recorded negative value added and/or negative operating income at least once in the past decade, reflecting shortcomings in core operational areas. These include high technical and commercial losses, inadequate maintenance, weaknesses in billing and revenue collection, and excessive staffing. The fragmentation of operational and revenue-collection responsibilities has further undermined efficiency. These factors have contributed to the poor financial performance of SOEs and limited their capacity to sustain service provision and investment.

SOE financial performance is weak...

Figure 2.3: SOE profitability, 2014-2023 (US\$ millions)



Source: World Bank calculations based on data from Ministry of Portfolio.

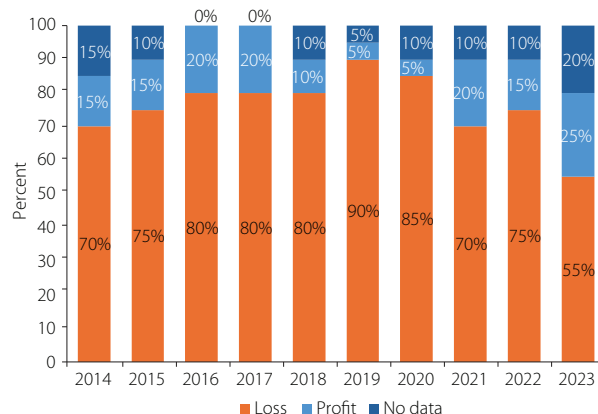
Note: Return on assets (ROA) is net income divided by total assets and return on equity (ROE) is net income divided by total equity. Each indicator is represented by a weighted average with turnover as weight.

60. **Beyond operational challenges, a key driver of structural SOE deficits lies in the regulatory and policy framework governing PSOs and pricing.** Many SOEs are expected to deliver services below cost-recovery levels—or, in some cases, free of charge—while performing quasi-fiscal functions without clearly defined mandates or systematic budgetary compensation. Pricing policies and PSO arrangements therefore weaken revenue adequacy and undermine financial viability, independent of operational efficiency. These pressures are compounded by arrears between the state and SOEs. For example, the government owed an estimated US\$658 million to REGIDESO and SNEL at end-2023. Absent clearer PSO frameworks, transparent compensation mechanisms, and cost-reflective pricing policies, these structural constraints are likely to continue generating persistent losses and fiscal risks.

61. **Chronic financial underperformance is also closely linked to low capitalization levels, which have increased SOEs' reliance on debt financing.** The equity-to-asset ratio for SOEs fell sharply from 45 percent in 2020 to 31 percent in 2023 (Figure 2.5), leaving less than one-third of assets financed by shareholders, with the remainder funded through borrowing. SOE debt reached 7 percent of GDP in 2023, heightening financial vulnerabilities and increasing exposure to economic downturns and interest-rate shocks. The continued accumulation of liabilities poses significant fiscal risks and underscores the urgency of comprehensive SOE reform.

...and monitoring is limited.

Figure 2.4: SOE profit and loss reporting, 2014-2023 (%)



Source: World Bank calculations based on data from Ministry of Portfolio.

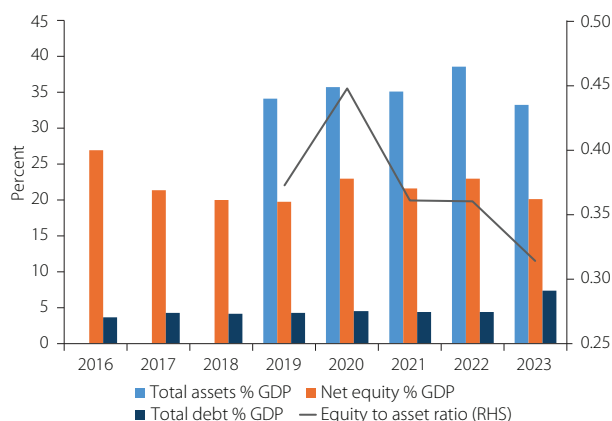
¹³ This section discusses the 20 SOEs for which data is available, according to the Ministry's portfolio monitoring.

¹⁴ IMF Article IV Consultation and Sixth Review Under the Extended Credit Facility Arrangement. July 2024.

¹⁵ SNEL, REGIDESO, ONATRA, and SNCC are SOEs with public service obligations, unlike the others.

SOEs play a major role in the economy, but rising leverage weighs on financial resilience.

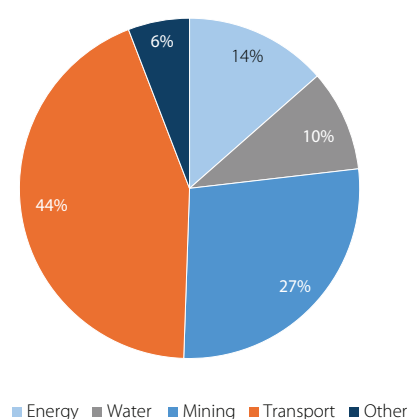
Figure 2.5: Net equity, assets, and liabilities of non-financial SOEs, 2016-2023



Source: World Bank calculations based on data from Ministry of Portfolio.

Two-thirds of SOE employees are in the transportation and mining sectors.

Figure 2.6: SOE employment by sector, 2023



Source: World Bank calculations based on data from Ministry of Portfolio.

62. **SOEs employ at least 44,000 workers, or 5 percent of all formal employees, and this figure is likely underestimated due to incomplete data coverage.**¹⁶ Based on reported data, 85 percent of SOE employment is concentrated in the transportation, energy, and mining sectors (Figure 2.6). Personnel costs consumed 30 to 45 percent of SOE turnover during 2014-2023 (excluding outliers), compared to an average of 20 percent for private firms in DRC¹⁷ and 33 percent for SOEs in the European Union. For several SOEs, personnel costs represent a substantial share of — or even surpass — total turnover, as seen with MIBA (137 percent), RVA (75 percent), and SNCC (96 percent). The international experience indicates that personnel costs in commercially oriented SOEs typically account for 15-25 percent of turnover, consistent with private-sector benchmarks. Sectoral variation is considerable, ranging from 10-20 percent in capital-intensive utilities to 20-30 percent in transport and logistics, with financial institutions generally below 20 percent. In DRC, SOE personnel costs significantly exceed these levels, pointing to structural inefficiencies in labor-cost management.

2.3 SOE financial vulnerability: Spotlight on selected SOEs

63. **Several strategic SOEs face significant financial vulnerabilities that threaten fiscal stability and constrain service delivery.** To gauge the magnitude and sources of these risks, a focused financial vulnerability assessment was conducted for six strategic nonfinancial SOEs—SNCC (railways), ONATRA (rail and ports), SNEL (electricity), REGIDESO (water), RVA (airports), and Gécamines (mining)—using an IMF financial health

diagnostic. These SOEs were selected based on the availability of audited financial data and their systemic importance for the economy and service delivery, and they account for more than 90 percent of all SOE assets. Financial data cover 2018-2024, with variations across SOEs. Of these, SNEL, REGIDESO, ONATRA, and SNCC have public service obligations, while the others do not. The assessment covered five dimensions: solvency, liquidity, cash flow adequacy, profitability, and debt-servicing capacity. A detailed description of the methodology and SOE-specific indicators is provided in Annex 4.

64. **The analysis reveals pervasive financial stress across the six SOEs, all of which are characterized by high financial leverage and weak cashflow generation, which contribute to significant liquidity constraints.** Despite some recent improvement in headline operational indicators, these vulnerabilities translate into material contingent liabilities and arrears, and they pose risks to both fiscal stability and service delivery (Box 2.1). As of end-2022, the combined debt stock of the six SOEs was estimated at about 4.2 percent of GDP, underscoring their macro-fiscal relevance. Debt is highly concentrated, with SNEL and Gécamines holding the largest debt. The resulting contingent liabilities could generate significant fiscal pressures, including through the accumulation of arrears, calls on government support, or recapitalization needs. Firm-level vulnerabilities are closely linked to structural governance gaps—weak oversight, politicized appointments, and uneven performance monitoring—which are discussed in Section 2.4, and they pose important fiscal risks, which are analyzed in Section 2.5.

¹⁶ DRC Statistics. *Africa Housing Finance Yearbook 2024*.

¹⁷ Democratic Republic of Congo, World Bank Enterprise Surveys 2024.

Box 2.1 Key findings from the IMF SOE financial health assessment

- **Pervasive solvency stress:** All assessed SOEs exhibit high leverage and weak capital structures, constraining investment capacity and heightening insolvency risk.
- **Macro-critical debt exposure:** The combined debt of the six SOEs is estimated at about 4.2 percent of GDP, with risks concentrated in a few SOEs.
- **Weak cashflow generation:** Operating cash flows are insufficient to service debt, leading to reliance on borrowing to address liquidity shortfalls.
- **Fragile effective liquidity:** Despite acceptable headline liquidity ratios in some cases, chronic receivables and extended customer and supplier arrears undermine day-to-day cash management.
- **Low profitability and limited resilience:** Most SOEs remain structurally loss-making, with limited capacity to absorb financial shocks or sustain operations without fiscal support.
- **Heightened fiscal risks:** For the most vulnerable SOEs, financial distress could translate into arrears accumulation, calls on government support, or recapitalization needs.
- **The risk profile for the two SOEs in the transport sector (ONATRA and RVA)** has deteriorated during the post-COVID period, resulting in a worsening of their credit ratings.

Note. A detailed presentation of indicators and risk classifications is provided in Annex 5, and Annex 6.

65. Borrowing has increasingly been used to address short-term liquidity shortages rather than to finance productivity-enhancing investment. Due to persistently weak operating cashflow, incomplete reimbursement of public service obligations, and high government arrears to SOEs, many SOEs are unable to service debt from their own resources and instead rely on new borrowing to address liquidity shortfalls. This dynamic undermines the financial sustainability of SOEs and constrains their capacity to invest in improved service quality or expanded coverage. While headline liquidity ratios may suggest adequate short-term asset coverage, they overstate effective liquidity, masking significant deficiencies in working capital.

66. Chronic inefficiencies in managing accounts receivable and payable continue to strain day-to-day cashflow in most SOEs. Long delays and significant arrears in receivables collection, including receivables from other SOEs and the public sector, tighten cash constraints and weaken operating liquidity. At the same time, SOEs routinely use extended supplier arrears as an informal liquidity-management mechanism. Consequently, balance-sheet liquidity does not translate into effective cash liquidity, underscoring the need for reforms in government compensation for SOE services, billing systems, improved revenue collection, including through tariff and price reforms, and greater payment discipline by both the government and SOEs.

67. Debt-servicing capacity varies significantly but is weakening among the most vulnerable SOEs. While Gécamines and REGIDESO currently appear to meet their interest obligations, SNEL, RVA, ONATRA and SNCC face heightened debt-servicing stress due to high leverage, weak profitability (except for Gécamines), and limited cashflow buffers. For these SOEs, debt-servicing capacity is highly sensitive to rising interest rates or revenue shortfalls, increasing the likelihood that financial distress could translate into arrears accumulation or calls on government support.

68. Profitability remains structurally weak across the SOE portfolio. Return on assets and equity are predominantly negative, signaling a limited capacity to generate earnings sufficient to sustain operations or absorb financial shocks. While the net margins of certain SOEs have improved, including Gécamines (as of 2024) and SNEL (as of 2022), the profitability of the broader SOE is under considerable pressure. In several cases, relatively moderate cost-recovery indicators exist alongside weak financial performance, suggesting that rising input costs, billing and collection inefficiencies, or deficiencies in governance continue to erode SOE financial positions. Persistent losses lead to chronic operational inefficiencies and, in some cases, declining productive capacity.

Box 2.2 Service delivery by key SOEs in DRC

Despite some progress over the past decade, service delivery by key SOEs remains insufficient and uneven, reflecting persistent operational inefficiencies, weak investment capacity, and financial constraints. While selected output and access indicators have improved, nationwide coverage and service quality remain well below regional benchmarks, with important implications for productivity, competitiveness, and welfare.

Electricity. Grid access increased from 18.7 percent of the population in 2018 to about 22 percent in 2023, driven mainly by urban connections, but remains far below the Sub-Saharan Africa average of around 40 percent. Although DRC has substantial installed hydropower capacity, utilization remains extremely low at 3.2 percent, reflecting limited investment planning, insufficient maintenance, and weak cost recovery. SNEL, which controls more than 90 percent of generation, transmission, and distribution infrastructure, has increased production modestly in recent years, yet service reliability remains poor. High technical losses—estimated at 37 percent in 2023, nearly 13 percentage points above the SSA average—combined with aging infrastructure and underinvestment continue to result in frequent outages and load-shedding, raising costs for firms and households.

Water. REGIDESO's network coverage has remained broadly stagnant at around 16 percent of the population, failing to keep pace with rapid demographic growth. The national drinking-water coverage rate remains below 30 percent, with very limited access in rural and semiurban areas (below 14 percent). While production volumes are broadly comparable to those of regional peers, only a fraction of water produced is effectively distributed (about 60 percent in 2024), pointing to severe system losses. On a per capita basis, water provision exceeds emergency thresholds set by the World Health Organization (20 liters per day) but remains well below levels observed among comparable countries (70 liters per day) or the minimum for urban comfort (50-100 liters per day). High losses, weak billing and collection systems, and limited investment capacity continue to constrain service expansion and undermine financial sustainability, reinforcing urban-rural disparities.

Rail transport. SNCC has focused on stabilizing core operations along strategic mining and trade corridors in the south and southeast, preserving essential freight services despite chronic underinvestment. However, the broader rail network (3,641 km) remains in poor condition, with only a limited share of reliable operational network (about 14 percent of the rail network) and very low average commercial speeds (13 km per hour). While freight volumes and traffic units have increased modestly, performance remains insufficient to support financial recovery or significantly improve national connectivity.

69. The combination of high leverage, weak cash generation, fragile effective liquidity, and persistent loss-making operations presents a material risk to fiscal stability and service delivery (Box 2.2). Addressing these vulnerabilities will require: (i) strengthened billing and collections capacity; (ii) a gradual increase in tariffs toward cost-reflective levels and/or measures to ensure that PSOs are transparently defined, properly costed, separately accounted for, and compensated through the budget in a timely manner; (iii) enhanced performance management; and (iv) balance-sheet repair, including targeted debt restructuring or reprofiling where appropriate.

2.4 Overview of SOEs corporate governance

70. This section assesses SOE governance practices, focusing on six dimensions adapted from the World Bank's iSOEF¹⁸ and the OECD Guidelines on corporate governance of SOEs.¹⁹ Key components of good SOE governance include: (i) the legal and regulatory framework; (ii) ownership and oversight functions; (iii) performance monitoring; (iv) boards of directors and executive management; (v) transparency and accountability; and (vi) procurement (see Annex 7 for details). These are also the governance features that most directly influence operational performance, financial sustainability, and fiscal risks.

¹⁸ World Bank (2021). Integrated State-Owned Enterprise Framework (iSOEF): Thematic Guidance Note - Restructuring State-Owned Enterprises.

¹⁹ OECD (2024). OECD Guidelines on Corporate Governance of State-Owned Enterprises.

2.4.1 Legal and regulatory framework

71. While DRC's legal and regulatory framework for SOEs has evolved over the years, it lacks key elements of a robust state shareholder strategy. The legal framework for SOEs is spread across multiple pieces of legislation, some of which date back over a decade. The authorities enacted a series of laws and regulations in 2008-2025 designed to strengthen SOE governance (see Annex 8 for details). These reforms modernized the internal and external environment in which SOEs operate and reinforced the legal and institutional framework of the state's portfolio. However, the government's overall strategic objectives, shareholder strategy, and procedures for creating public enterprises remain undefined. Moreover, DRC lacks a state ownership policy that clearly articulates the rationale for public shareholdings, sets performance and restructuring objectives, defines governance principles, and outlines when and why the state should invest in equity (Box 2.3). This gap undermines informed decision-making on when to create, acquire, retain, or divest state shareholdings.

2.4.2 Ownership and oversight function

72. The ownership function of SOEs in DRC diverges from the OECD Guidelines, which recommend that the state act as a professional, informed, and coherent owner and that these roles be clearly separated from its policy and regulatory functions. In DRC, SOE ownership responsibilities are shared between the Minister of the Portfolio, who formally represents the state as shareholder, and the line ministries, which strongly influence SOEs operating in their respective sectors. This decentralized model weakens the state's capacity to articulate a clear ownership policy, creates multiple and sometimes conflicting objectives for SOEs, and blurs accountability for ownership, policymaking, and regulatory functions—issues that the OECD explicitly identifies as a major source of inefficiency and political interference in SOE governance. Clarifying and formalizing the state's ownership role through a unified policy that defines the rationale for state ownership, the objectives assigned to SOEs, and the respective roles of the sectoral authorities will be critical to address these challenges.

Box 2.3 Côte d'Ivoire's state shareholder policy – A structured and differentiated approach to SOE portfolio management

Côte d'Ivoire has adopted a structured state shareholder policy that closely reflects the core principles set forth in the OECD Guidelines regarding the rationales for state ownership, the state's role as an owner, and differentiated governance of SOEs. The policy clearly articulates why the state owns enterprises, how ownership is exercised, and how performance is assessed, which helps to avoid role confusion and fragmented oversight. The state's portfolio is explicitly disaggregated into five categories, each governed by differentiated principles.

1. Noncommercial structures perform sovereign or administrative functions; in line with OECD guidance, performance is assessed mainly in terms of mandate execution, compliance, and budget discipline rather than profitability.
2. Public service operators deliver essential services under regulated conditions; consistent with OECD principles on public-service obligations, the state prioritizes service continuity, quality, affordability, and gradual financial sustainability, with explicit public service obligations.
3. Public service delegations operate under delegated or concession arrangements; the state focuses on contract oversight, service standards, and risk allocation rather than direct operational control, aligning with OECD guidance on arm's-length ownership and the separation of ownership and management functions.
4. Commercially oriented SOEs in strategic sectors are identified as national champions; governance standards emphasize financial performance, professional boards, and strategic alignment with national development objectives, consistent with OECD recommendations on board professionalism, commercial discipline, and performance monitoring.
5. Patrimonial investments are held primarily for financial return; the state acts as an informed investor, focusing on asset value, dividends, and portfolio optimization, with openness to divestment in areas where strategic justification is limited—reflecting OECD guidance on active and value-oriented state ownership.

By clearly linking ownership rationale, governance arrangements, and performance criteria to each portfolio segment, Côte d'Ivoire has reduced role confusion and strengthened accountability among SOEs. This differentiated shareholder model is coordinated by the General Directorate of the State Portfolio (*Direction Générale du Portefeuille de l'État*).

73. With respect to oversight, the OECD Guidelines emphasize the importance of clearly assigned monitoring and control responsibilities supported by transparency and regular reporting. In DRC, SOE oversight functions are fragmented among the CSP within the Ministry of Portfolio, the Court of Accounts (*Cour des Comptes*), General Inspectorate of Finance (*Inspection Generale des Finances, IGF*), and various sector ministries. In line with OECD guidance, reform efforts should aim to consolidate oversight functions under a single well-resourced ownership entity responsible for performance monitoring. SOEs should be subject to regular audits by qualified private audit firms or independent external audit institutions, and the findings of these audits should be systematically disclosed and acted upon.

74. At the corporate level, the OECD Guidelines stress that SOE boards must be clearly accountable for company performance, insulated from undue political interference, and subject to transparent nomination and evaluation processes. In DRC, boards operate under a “multiple principal” environment, receiving instructions from several state actors, which undermines board autonomy and weakens incentives for performance and risk management. Aligning with OECD standards requires reducing political interference, professionalizing board appointments based on competence rather than political affiliation and limiting direct ministerial involvement in day-to-day management. Taken together, the clarification of ownership roles, consolidation of oversight functions, and empowerment of professional boards are vital to strengthen the ownership and oversight framework for SOEs and improve their contribution to fiscal sustainability and development outcomes.

2.4.3 Performance monitoring

75. The government has signed performance agreements for strategic SOEs, but actual performance improvements have been limited. Since 2012, the state and select SOEs have entered into performance agreements as part of the government’s SOE reform strategy. However, these agreements were not published, limiting public transparency and preventing comprehensive external monitoring and accountability. Based on the available information, these agreements appear to have been only partially successful due to weak implementation and oversight. Overall, DRC lacks a comprehensive system

for rewarding good performance and sanctioning sustained noncompliance and underperformance. Given the political cost involved in meeting certain commitments, noncompliance has been frequent and often entails no meaningful consequences.

76. DRC has a legally defined but operationally fragmented perimeter for SOEs. Under existing legislation, SOE is broadly defined as an entity in which the state holds majority ownership or effective control. The SOE portfolio is formally overseen by the Ministry of Portfolio, with technical support from the CSP, and reform responsibilities are assigned to COPIREP. In practice, however, no single, comprehensive list of SOEs is regularly published. Recent official reporting has focused on a subset of major enterprises, particularly those with majority state ownership, rather than the full portfolio of firms over which the state exercises direct or indirect control. For example, the consolidated financial reports annexed to the budget documents cover only a small share of the total portfolio, reflecting gaps in perimeter definition and coverage.

77. The government has recently made progress toward consolidated financial reporting, but it still lacks a comprehensive, continuously updated SOE database consistent with international good practices. The consolidated financial reports on selected SOEs published as annexes to the budget law are retrospective, irregular, and not based on a live information system, and underlying enterprise accounts are often delayed, incomplete, or unaudited. However, these reports are retrospective, irregular, and not based on a live information system, and underlying enterprise accounts are often delayed, incomplete, or unaudited. Investment climate and governance assessments have found that limited data transparency and the absence of an SOE database and a centralized, publicly accessible SOE information platform continues to constrain effective monitoring and external scrutiny.²⁰

78. Systematic performance monitoring through standardized key performance indicators (KPIs) remains underdeveloped. While the CSP’s mandate includes monitoring performance indicators and supporting results-based management, there is no evidence of a harmonized KPI framework being applied consistently across the SOE portfolio, and performance contracts do not clearly link targets to management accountability. Existing reporting focuses primarily on

²⁰ DRC SOE Governance Diagnostic, 2019, World Bank.

basic financial indicators such as turnover, operating results, and solvency for a limited group of enterprises while presenting little information on efficiency, service quality, or policy-outcome indicators. Moreover, performance data are not systematically used to inform managerial incentives or sanctions, which weakens their impact on behavior. Overall, SOE performance monitoring in DRC remains largely descriptive rather than functional, underscoring the need for a clearer portfolio definition, a centralized SOE database, and the development of standardized KPIs aligned with ownership objectives and international benchmarks (Box 2.4).

2.4.4 Board of directors and SOE management

79. SOEs in DRC operate under a unitary (single-tier) board structure, which is consistent with the Organization for the Harmonization of Business Law in Africa (OHADA) framework applicable to joint-stock companies (*sociétés anonymes, SAs*). While the OHADA framework does not require a separation between the roles of CEO and board chair, DRC has separated them for strategic SOEs in line with international good practices. Boards of directors typically comprise between three and 12 members, with mandates defined in company bylaws and terms capped at six years. Board members are prohibited from serving on more than one SOE

board, and their remuneration is determined by the General Assembly (*Assemblée Générale, AG*), in which the Ministry of Portfolio represents the state. Although boards may formally establish audit, risk, or nomination committees, there are no uniform requirements for such committees. Moreover, directors are not required to be independent, which limits the boards' capacity for objective oversight and risk management.

80. **Appointment processes for boards and SOE management are politically driven rather than merit-based.** For SOEs wholly owned by the state, the President of the Republic appoints the CEO, the Deputy CEO, and board members based on a shortlist prepared within the government. The Ministry of Portfolio plays a key coordinating role in representing the state as shareholder in annual meetings, while line ministries influence appointments in SOEs under their sectoral purview. In partially state-owned SOEs (such as MIBA), the President of the Republic appoints board members representing the state, while other shareholders appoint their representatives through the AG. Although formal rules exist, the process lacks transparent, merit-based selection criteria, resulting in appointments that prioritize political considerations over professional competence.

Box 2.4 The Republic of Korea's SOE performance management system

The Republic of Korea operates a highly disciplined SOE performance-management framework. Under the 2007 Act on the Management of Public Institutions, all SOEs are subject to standardized annual performance evaluations conducted by independent expert teams appointed by the Ministry of Economy and Finance. Performance results are publicly disclosed through the All Public Information In One (ALIO) platform, strengthening transparency and external accountability.

A central feature of the system is the strong link between performance and executive incentives. Evaluation scores directly determine performance-based bonuses for CEOs and senior executives, with high performers eligible for very large variable compensation relative to base salaries, while weak performers receive sharply reduced or zero bonuses. This approach creates powerful incentives for results-oriented management in line with OECD good-practice principles.

Crucially, the framework also provides credible sanctions for sustained underperformance. Repeated poor evaluations trigger mandatory improvement plans and may lead to the dismissal of underperforming CEOs, subject to due process. The combination of transparent evaluations, meaningful rewards, and enforceable sanctions has made this system a global benchmark for SOE performance management.

The Republic of Korea's experience shows that establishing effective and credible incentives means linking executive pay and tenure to objective performance results, publicly disclosing evaluations, and enabling sanctions for persistent underperformance. Achieving this requires a strong ownership function, systematic evaluations, and the consistent application of rewards and sanctions across SOEs.

81. Professionalization gaps and dual-leadership challenges constrain SOE performance. SOE boards are heavily populated by politically exposed persons, including former ministers, senior civil servants, heads of public agencies, and legislators, which undermines board independence, limits technical expertise, weakens the quality of strategic deliberation, and compromises performance oversight. International good practices emphasize board professionalization, including the appointment of directors with business, financial, sectoral, or technical expertise, and recommend that elected officials not serve on boards. Despite the formal separation between the CEO and the board chair in DRC, many SOEs experience “dual leadership” in practice, with chairpersons acting as de facto executives. Compounded by unclear role definitions, dual leadership has repeatedly resulted in CEO/board chair conflicts, slowed decision-making, and blurred accountability.

82. In recent years, the government has taken important steps to strengthen SOE corporate governance, notably by improving the transparency and professionalism of senior leadership appointments in select SOEs. With support from World Bank Group, the authorities implemented competitive, merit-based recruitment processes for CEOs, deputy CEOs, and board chairs in three strategic SOEs, moving away from discretionary appointment practices and helping to lay the foundations for stronger management, clearer accountability, and closer alignment with OHADA-based company law. Building on these initial gains, the government is advancing a new set of measures supported by the World Bank Group that are designed to formalize transparent and competitive appointment procedures for managing directors and board members in selected SOEs. Together, these reforms aim to consolidate earlier progress, reduce political interference, strengthen oversight institutions, and embed improved governance practices across the SOE portfolio.

2.4.5 Transparency and accountability

83. Recent regulatory reforms have strengthened SOE reporting practices, but implementation gaps continue to undermine transparency and weaken fiscal risk management. International good practices require SOEs to produce timely, reliable, and comprehensive

financial and non-financial reports that enable the state, the legislature, and the public to assess performance and manage fiscal risks. In DRC, the government has taken an important step by mandating the publication of SOE annual reports within three months following the end of the financial year. SOEs are also required to publish their audited financial statements within six months and one week on a publicly accessible website, pursuant to Ministry of Portfolio Circular No. 0345/MINPF/MKA/COPIREP/AKM/2022. However, compliance remains uneven in practice. Many SOEs continue to submit incomplete or delayed financial information, complicating consolidation efforts by the CSP and reducing adherence to the statutory deadlines established under Decree 13/036 of September 2013. While the inclusion of SOE financial data in the 2024 and 2025 finance laws marked meaningful progress toward aggregate fiscal reporting, the omission of the completed SOE report from the 2026 finance law suggests that recent gains have yet to be fully institutionalized. Moreover, the 2020, 2022, and 2023 financial statements for SCTP SA were published but later removed from the CSP website.

84. Public disclosure requirements for SOEs have been formally reinforced, yet weak enforcement and limited compliance undermine external accountability. The OECD Guidelines clearly distinguish between internal reporting and public disclosure, emphasizing the proactive publication of material information such as audited financial statements, performance indicators, governance arrangements, and risk factors. The 2022 Circular aligns DRC's framework more closely with these principles by explicitly requiring SOEs to publish annual reports and audited financial statements online within clearly defined deadlines, marking a significant shift from a compliance-oriented reporting culture toward one centered on transparency and public scrutiny. In practice, however, most SOEs still lack functional or regularly updated websites, and published information remains partial, late, or difficult to access. A small number of enterprises, including Gécamines, REGIDESO, and SNEL, disclose limited governance or procurement information, but these efforts remain inconsistent and fall short of the comprehensive disclosure envisaged by the reform. Moreover, the CSP's own publication efforts have not yet been sustained on a systematic basis.

85. Significant gaps in SOE audit practices continue to undermine transparency, accountability, and the conditions necessary for sustained reform.

International good practices clearly distinguish between independent external audit, internal audit, and state control bodies and assign each a distinct and complementary accountability role. DRC's legal framework reflects this architecture by requiring SOEs to appoint external auditors (*commissaires aux comptes*) through modalities defined in company statutes. In practice, however, these statutory provisions are frequently bypassed, and auditors are appointed on a discretionary basis by the Minister of Portfolio, which compromises their independence. Corrective measures were introduced through the February 2023 and May 2025 ministerial circulars, which reaffirmed statutory appointment rules and established more transparent selection procedures.

86. Internal audit functions within SOEs remain largely weak or non-operational.

Although the CSP has issued a charter for audit committees, implementation across the portfolio has been minimal. In the absence of effective internal controls and independent external audits, the General Inspectorate of Finances (*Inspection Générale des Finances, IGF*)—which does not function as an external auditor—has stepped in to fill the governance vacuum by undertaking preventive financial reviews and implementing ex ante controls alongside its traditional ex post inspection mandate. While IGF intervention has helped contain instances of budgetary indiscipline, it represents a substitution of state control for genuine governance and falls short of the independent external audit and board-level accountability envisaged under the OECD Guidelines. Strengthening audit practices will require not only reinforcing statutory compliance in auditor appointments but also building functional internal audit capacity and ensuring that control mechanisms complement, rather than substitute for, sound corporate governance.

2.4.6 Public procurement and SOEs

87. The government has taken steps to improve its public procurement framework and incorporate

international good practices. In 2024, the government introduced electronic management rules for public contracts, and in 2025 it mandated the full use of an electronic procurement platform (SIGMAP-RDC). These measures aim to increase transparency and reduce delays across contracting authorities by tracking the publication of contracts and the adoption of electronic procedures. However, compliance remains uneven. The publication of beneficial ownership information in procurement processes, as mandated by the 2023 Public Procurement Procedures Manual, has not yet been effectively operationalized, limiting visibility into related-party risks and potential conflicts of interest. The government is revising the 2010 Procurement Law to incorporate efficiency and sustainability considerations, but this process is not yet complete.

88. SOE procurement in DRC reflects a broader tension between transparency imperatives and the need for operational autonomy, which may call for a more differentiated regulatory approach.

While SOEs are formally subject to the general public procurement framework, implementation remains uneven—particularly regarding beneficial ownership disclosure, e-procurement adoption, and the operationalization of transparency provisions introduced under Decree No. 23/12 of 2023. The OECD Guidelines call for a proportionate and risk-based procurement framework that balances public accountability with the commercial realities of individual SOEs. However, the uniform application of procurement rules across all SOEs regardless of their mandate or market orientation remains a key challenge. For SOEs entrusted with public-policy functions or reliant on state support, close procurement oversight is appropriate to safeguard public resources (see Box 2.5). However, for commercially oriented SOEs competing in open markets, rigid procurement requirements can undermine competitive neutrality relative to private firms. The international experience supports aligning procurement regimes with each SOE's commercial orientation and risk profile—including greater procurement autonomy for entities with limited budgetary support—provided such flexibility is paired with clear performance expectations and credible financial discipline.

Box 2.5 Lithuania – A successful SOE procurement reform**Reform context**

Prior to the 2010s, procurement by Lithuanian public entities, including SOEs, was fragmented across institutions, highly procedural, and vulnerable to discretion and capacity constraints. As part of its broader SOE governance transformation and OECD accession process, the government undertook a comprehensive reform of public and SOE procurement aimed at improving efficiency, transparency, and value for money. The reform was closely aligned with the OECD Recommendation on Public Procurement and supported by the European Commission and the OECD.

Reform measures

Lithuania progressively centralized procurement frameworks and data, standardized rules and templates, and strengthened oversight by the Public Procurement Office while allowing SOEs to retain operational responsibility within a common system. At the same time, the government invested heavily in professionalization, introducing training and certification requirements for procurement staff, and improved guidance on tender design, evaluation, and contract management. These changes were reinforced by higher transparency and disclosure standards and better use of procurement data for monitoring and risk analysis.

Outcomes

The reform succeeded because procurement changes were embedded in a broader SOE governance agenda that clarified ownership objectives, strengthened board autonomy, and improved financial and nonfinancial disclosure. Centralization reduced fragmentation and discretion, while professionalization improved the quality of procurement decisions. Importantly, accountability shifted from rigid ex ante controls toward system-based transparency and ex post oversight, reducing opportunities for political interference while preserving operational efficiency in SOEs.

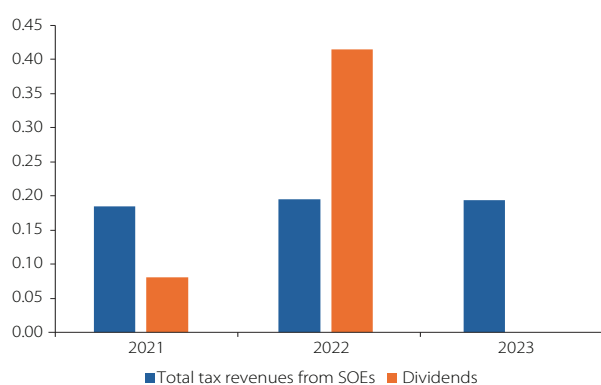
As result, the reforms increased competition and transparency, reduced administrative and transaction costs, and strengthened value-for-money outcomes in SOE and public-sector procurement. Improved data availability enhanced oversight and risk detection, while better procurement practices complemented broader improvements in SOE financial performance and governance.

2.5 Fiscal risks and costs

89. **The weak performance of SOEs in DRC amplifies fiscal risks through their impact on public revenue (taxes and dividends) and debt (Table 2.1).** The contribution of SOEs to public revenues declined from 3.3 percent of GDP in 2014 to 0.5 percent in 2022. Many SOEs mainly contribute to the budget through tax revenues, and their recurrent losses have resulted in a stock of tax arrears that represented about 1.8 percent

SOEs make only a modest contribution to public revenues...

Figure 2.7: SOEs contribution to public revenues, taxes and dividends, 2021-23 (% of GDP)

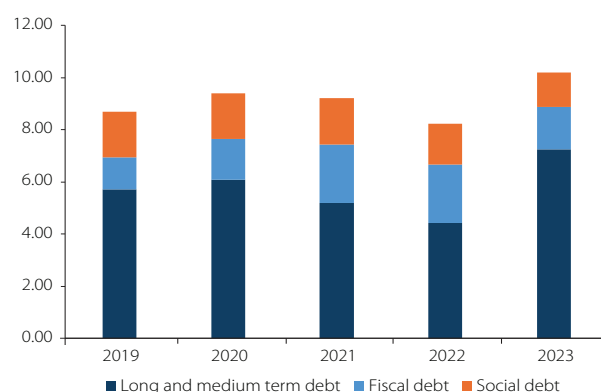


Source: DRC authorities and World Bank calculations.

of GDP between 2019 and 2023, equal to almost the annual budget for the education sector. Driven mostly by mining and oil companies, SOE dividend payments were equal to about 0.4 percent of GDP in 2022, exceeding the amount of taxes paid by SOEs (Figure 2.7). The fiscal risks arising from SOEs increased as their combined debt stock rose from 5.7 percent of GDP in 2019 to 7.3 percent in 2023 (Figure 2.8), and SOE debt made up about 42 percent of total external public debt. A default

...and SOE debt levels have recently increased.

Figure 2.8: Decomposition of SOE debt



Source: DRC authorities and World Bank calculations.

Table 2.1: SOE fiscal costs and risks, 2019-2022 (% of GDP)

	2019	2020	2021	2022
A. Budget inflows from SOEs	0.2	0.3	0.7	0.5
Tax payment	0.1	0.3	0.6	0.0
Dividend payments to state	0.1	0.1	0.1	0.4
B. Budget outflows to SOEs	1.9	1.9	1.8	1.7
Equity/capital injection	0.9	1.1	1.2	1.1
Subsidies	1.0	0.8	0.7	0.5
C. Net budgetary flows	-1.6	-1.6	-1.1	-1.2
D. Fiscal risks	8.7	9.4	9.2	8.2
Tax arrears	1.2	1.6	2.2	2.3
Social debt	1.7	1.7	1.8	1.6
Long- and medium-term debt	5.7	6.1	5.2	4.4

Source: World Bank calculations based on data from national authorities.

Note: National data was extracted from the 2023 Report on the Consolidated Financial Situation of State-Owned Enterprises. Net budgetary flows remained negative throughout 2019–2022, while risks from tax arrears, social debt, and medium/long term debt persisted. The budget outflow figures are derived from the financial statements of the six strategic state-owned enterprises for which data was accessible.

on SOE debt payments would substantially increase the government's debt-service obligations, highlighting the interaction between structural governance weaknesses (Section 2.4) and financial vulnerabilities at the enterprise level (Section 2.3).

90. **Without incorporating social debt or potential implicit contingent liabilities, current SOEs debt ratios suggest that the materialization of fiscal risks among major SOEs could cost the government up to US\$179 million.** Even where SOE debt is not explicitly guaranteed, it constitutes an implicit contingent liability for the central government, reflecting the moral and political obligation to prevent SOE default and sustain the provision of essential public services. Assuming a maturity of seven years and an average interest rate of 9 percent, a complete default by all 11 major SOEs in a single year would require the government to spend about US\$179 million to cover the resulting debt-service obligations. The average ratio of financial independence among the 11 key SOEs is high at 0.8, albeit below the threshold of 1,²¹ which suggests a need to inject additional capital or reduce the pace of debt accumulation. Similarly, the average reimbursement-capacity ratio has increased from 3.8 years in 2019 to

14.3 in 2023, well above the prudent range of 3–4 years.²² Moreover, SOEs are unlikely to have loan maturities above seven years, and SOEs in water and electricity sectors may have sizeable implicit contingent liabilities that are not reflected in the estimates above. Finally, SOE social debts, including salary arrears that in some cases amount to more than 100 months,²³ reached 1.3 percent of GDP at end-2023.

91. **Improving corporate governance and rationalizing the SOE workforce could significantly mitigate fiscal risks.** Based on SOE credit scores (Altman z-scores), a partial default by the 11 largest SOEs (distinct from the total default modelled above) could require the government to pay US\$61 million to cover debt-service obligations (Figure 2.9). Due to the size of their liabilities, Gécamines and SNEL would impose the highest fiscal costs in the event of a default. Overall, firms with weaker indicators of financial health (i.e., lower z-scores) are generally associated with higher expected losses, reflecting greater vulnerability and potential fiscal risk (Figure 2.10). Improving corporate governance and rationalizing the total SOE workforce by 25 percent could halve the cost of a partial default.

²¹ The ratio of financial independence is equal to liabilities divided by shareholders owned capital.

²² International practice considers a debt repayment capacity (e.g., debt-to-cash-flow or debt-to-EBITDA) in the range of three to four years as prudent for corporates and state-owned enterprises.

²³ Social debts typically include wage arrears and unpaid benefits, unpaid employer contributions to the national social security/pension fund, pension arrears, and other social arrears such as scholarships or mandated social payments.

Reforms could help reduce the fiscal risks posed by a default on SOE debt-service obligations...

Figure 2.9: Estimated fiscal costs of a partial debt-service default by 11 SOEs under various scenarios



Source: World Bank estimates based on data from national authorities.

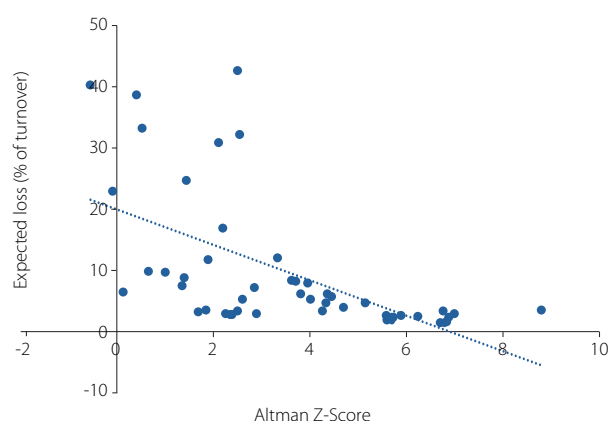
2.6 Macroeconomic and social impact of SOE reforms

92. **Resource misallocation across firms, sectors, and especially SOEs remains a structural drag on DRC's long-term growth.** Capital and labor are diverted from high-productivity uses, raising economywide costs and suppressing investment. Among SOEs, fragmented ownership, weak governance, and insufficient performance oversight sustain high wage bills and low operational efficiency while crowding out spending on maintenance, network upgrades, and service quality. These costs are amplified in upstream sectors—electricity, water, transport, and logistics—where SOE underperformance raises input prices and reliability risks for the entire economy, depressing total factor productivity (TFP) and discouraging investment in tradables. At the macro-fiscal level, recurrent SOE losses and quasi-fiscal activities absorb scarce public resources through subsidies and arrears clearance rather than productivity-enhancing investments in infrastructure and human capital.

93. **Measures to improve workforce efficiency and strengthen corporate governance are urgently needed to enhance SOE financial performance.** Weak corporate governance—including fragmented ownership, politicized boards, uneven performance monitoring, and limited transparency—weighs on performance, while high SOE workforce costs, among other factors, depress operating margins and cashflow. Workforce rationalization would help reduce the marginal labor cost of Congolese SOEs (0.56 per unit of

...while also increasing SOE credit scores.

Figure 2.10: Relationship between the Altman Z-score and expected losses (% of turnover)



Source: World Bank estimates based on data from national authorities.

sales) to levels observed for private and public firms in other low-income countries (0.22) and in SSA (0.25).²⁴ Reforms in both areas will have different short- and long-term effects on households and the economy. In the short term, workforce rationalization could negatively impact on the welfare of households that rely on SOE employment. Over the medium-to-long term, however, improved SOE governance and financial discipline, especially in upstream sectors, can reallocate labor and capital toward more productive uses, improve net fiscal flows, lower economywide input costs, and support productivity-led growth.²⁵ The analysis below examines these distributional and macroeconomic effects, noting that reform feasibility depends on addressing the governance weaknesses discussed in Section 2.4 and related political-economy constraints.

94. **The following simulations focus on workforce rationalization and use a proxy indicator for improvements in corporate governance.** Two workforce-rationalization scenarios are considered: a modest 5 percent headcount reduction, reflecting low-risk efficiency gains, and a deeper 25 percent reduction, consistent with medium-term structural SOE reforms observed in other developing countries. Corporate-governance improvements are modeled as a convergence between DRC's score for management practices on the World Bank Enterprise Surveys (41.9) with the SSA average (47.9).²⁶ Simulation parameters are grounded in the international experience from Latin America, Africa, and Eastern Europe (see Annex 9).

²⁴ Data on labor costs per unit of sales are computed from World Bank Enterprise Surveys for SSA and low-income countries.

²⁵ Net budget flow is equal to the sum of dividends, taxes and royalties minus subsidies and other transfers from the government to SOEs.

²⁶ The management practice score ranges between 0 and 100 (best situation). It is computed on basis of World Bank enterprise survey data.

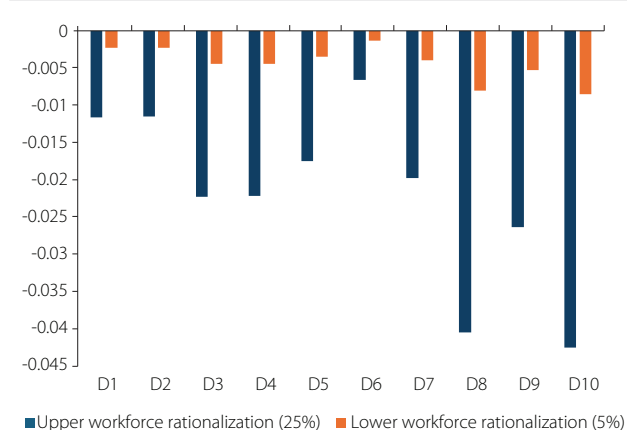
Short-term welfare impact

95. **In the short term, SOE workforce reforms generate small and negative welfare effects across all deciles, with the deeper workforce rationalization producing consistently larger impacts (Figure 2.11).** Overall effects remain modest throughout the distribution, reflecting the limited share of households that rely on SOE wages. As a result, most households experience little to no change in welfare, though the shock can be meaningful for those that directly depend on SOE income. Welfare losses are smallest among households in the poorest deciles (D1–D4), as their reliance on SOE wages is typically limited, and remain broadly contained through the middle of the distribution (around D5–D7). The largest effects are observed in the upper deciles (D8–D10), indicating that households in the top 20 percent of the income are the most likely to receive SOE wage income. The magnitude of the welfare impact of workforce rationalization differs between the two scenarios, but the distribution is very similar.

96. **Both reform scenarios produce virtually no change in national poverty rates in the short term.** Even under the more extreme scenario, the national poverty rate increases by only 0.03 percentage points, an economically insignificant shift driven by the very limited overlap between SOE workers and poor or near-poor households (Figure 2.12). Even at the subnational level, impacts remain extremely small: a 25 percent workforce rationalization increases the rural poverty rate by just 0.043 percentage points, while

Welfare losses from SOE workforce rationalization are projected to be small and concentrated among upper-income households...

Figure 2.11: Welfare losses by decile by scenario (% change)



Source: World Bank estimates based on data from national authorities.

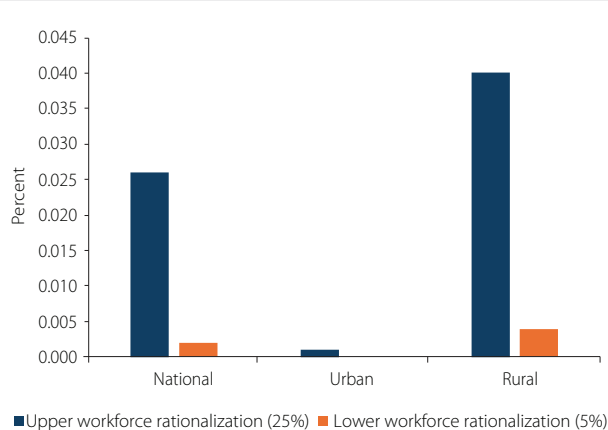
a 5 percent rationalization increases it by a negligible 0.004 percentage points. The greater impact on rural households reflects their weaker income diversification and greater vulnerability to reduced SOE earnings relative to their urban counterparts. In urban areas, the effects are nearly zero—just 0.001 percentage points in both scenarios—consistent with higher baseline incomes, more diverse livelihoods, and stronger consumption-smoothing capacity.

Long-term welfare impact

97. **Improvements in SOE corporate governance and workforce rationalization could generate substantial gains in GDP growth over the long term.** Better-governed SOEs with stronger financial performance would reduce economic distortions and improve resource allocation by reducing the need for subsidies, guarantees, and preferential credit²⁷ that can crowd out more productive private-sector activity. Improved SOE performance—particularly in upstream sectors such as energy and water, transportation and logistics, and finance—would lower economywide input costs and could boost firm-level productivity and ultimately TFP.²⁸ Improved SOE governance could also ease fiscal pressure and create space for growth-enhancing public investment. Beyond direct productivity effects, measures that attenuate fiscal risks can reduce sovereign risk premiums, lower domestic interest rates, and crowd in private investment. Together, these effects would help narrow DRC's productivity gap relative to regional peers and lift potential output over the medium-to-long term.

...while changes in poverty rates are projected to be small and concentrated in rural areas.

Figure 2.12: Change in the poverty rate by scenario (%)



Source: World Bank estimates based on data from national authorities.

²⁷ Hsieh, Chang-Tai and Klenow Peter J. (2009). Misallocation and Manufacturing TFP in China and India, *Quarterly Journal of Economics* 124(4), pp. 1403-1448.

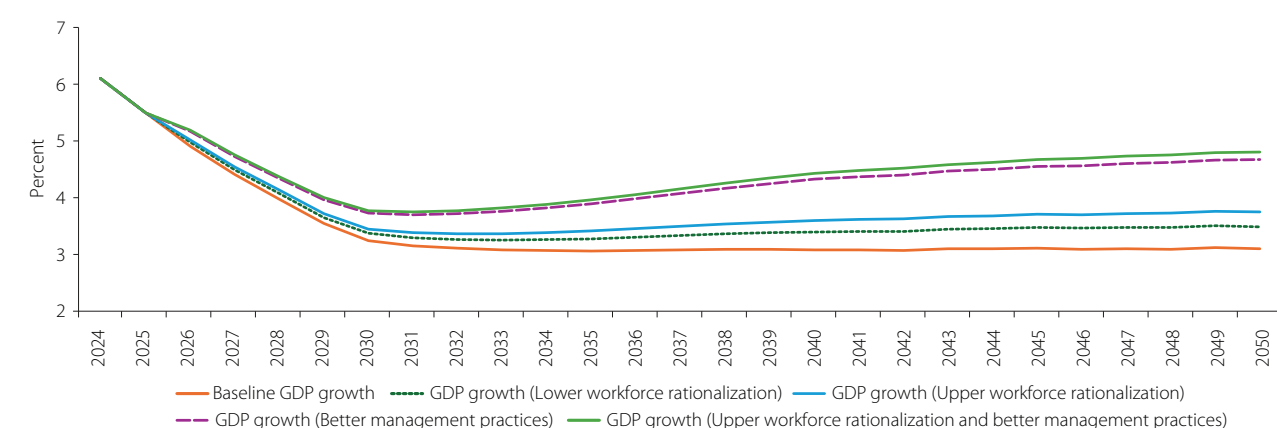
²⁸ In Africa, weak performance in upstream network sectors—especially power—raises input costs and depresses firm productivity; firm-level evidence on electricity outages and Africa's Pulse (Spring 2018) point to reliability as a key constraint to productivity growth and structural transformation (Apeti and Ly 2023; Fried and Lagakos 2023; McMillan and Zeufack 2022).

98. Simulation results suggest that improvements in SOE financial performance could raise the GDP growth rate to about 5 percent by 2050, primarily through reduced resource misallocation and higher TFP. Rationalizing the SOE workforce alone could boost TFP growth from 0.2 percent under the baseline scenario to about 0.7 percent, raising the annual GDP growth rate from 3 percent to about 5 percent by 2050 (see Annex 9 and Figure 2.13). A higher long-term GDP growth rate would significantly accelerate poverty reduction: under the reform scenario, the poverty rate is projected to decline to about 66 percent by 2050, around 10 percentage points below the baseline (Figure 2.14).

99. Well-sequenced reforms targeting organizational restructuring, workforce renewal, corporate governance, and selective private-sector participation could provide a solid foundation for modernizing operations and enhancing service reliability in strategic SOEs such as SNEL and SNCC. If implemented credibly, these reforms would position SNEL as a reliable off-taker and system operator, a prerequisite for transformational investments such as the Inga 3 hydropower project, which could significantly expand generation capacity and support industrial development. Similar reforms in the transportation sector could enable SNCC to play a central role in regional integration initiatives such as the Lobito Corridor, helping reduce transport costs, strengthen trade competitiveness, and support economic diversification.

Better-performing SOEs contribute to stronger real GDP outcomes...

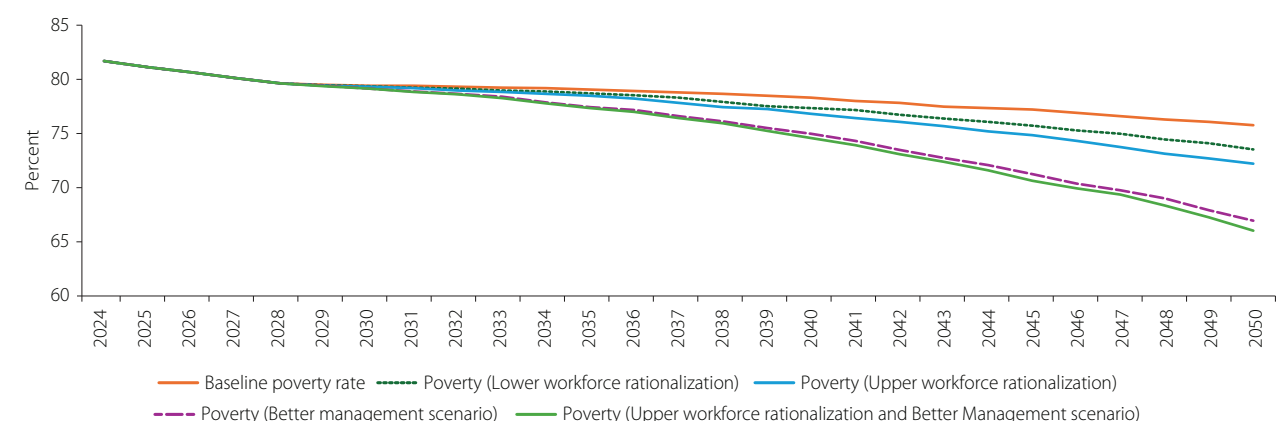
Figure 2.13: Real GDP growth under alternative SOE reform scenarios (%)



Source: World Bank calculations based on data from the national authorities.

...and improved household welfare.

Figure 2.14: Poverty headcount rates under alternative SOE reform scenarios (%)



Source: World Bank calculations based on data from the national authorities.

2.7 How SOEs contribute to development: examples from selected countries

100. This section reviews selected examples of high performing SOEs and identifies the key factors underpinning their success in Brazil, Côte d'Ivoire, Malaysia, Morocco and Vietnam. The case studies from Brazil and Côte d'Ivoire focus on the water and electricity sectors, respectively. Malaysia's experience highlights a centralized ownership model through a single government-linked company that oversees the SOE portfolio and balances financial and public-policy objectives. The Moroccan case examines a mining SOE that has successfully strengthened its integration into global value chains. The Vietnam case demonstrates that SOEs are capable of competing successfully with private companies when the government maintains a credible commitment to competitive neutrality and manages ownership at arm's length.

2.7.1 Brazil: SABESP – A hybrid SOE in the water and sanitation sector

101. The São Paulo State Basic Sanitation Company (*Companhia de Saneamento Básico do Estado de São Paulo, SABESP*) is a former SOE that plays a central role in providing water supply and sanitation services in Brazil's most populous state. Serving a population of approximately 46 million, the company provides water services to 28.2 million people and sewage collection and treatment services to 24.9 million. Established in 1973, SABESP was privatized in 2024 and is publicly listed on the São Paulo Stock Exchange, with American Depositary Receipts traded on the New York Stock Exchange. Its stock market listings have strengthened transparency, corporate governance, and accountability by subjecting the company to private-sector disclosure standards, external scrutiny, and financial discipline, while preserving public control over strategic objectives. As of end-December 2025, approximately 66.5 percent of SABESP's capital was publicly traded.

102. SABESP has benefited from a strong and predictable regulatory framework, and its social objectives are clearly defined by the government. The company operates under a concession and tariff-regulation regime overseen by an independent regulator. Periodic tariff reviews, well-specified investment obligations, and predictable adjustment mechanisms have supported cost recovery, limited

political interference in pricing, and strengthened investor confidence. Affordability objectives have been addressed through targeted social tariffs and compensatory mechanisms rather than generalized underpricing, helping to reconcile financial sustainability with equity goals and limit cross-subsidization.

103. SABESP's performance has been underpinned by strong financial discipline, professional governance, managerial autonomy, transparency, and long-term investment planning aligned with national objectives. Access to equity and bond markets enabled sustained investment in network expansion and system modernization without heavy reliance on fiscal transfers, reinforcing hard budget constraints and efficiency incentives. Multiyear investment programs aligned with Brazil's sanitation targets strengthened credibility with regulators and financiers and ensured consistency between policy objectives and operational delivery. Corporate governance arrangements consistent with listed-company standards have provided SABESP's management with operational autonomy within clear regulatory and contractual frameworks, supporting continuity in strategic planning, investment execution, and organizational reform.

2.7.2 Côte d'Ivoire: Implementation of performance based contracts in the energy sector

104. The Ivorian Electricity Company (*Compagnie Ivoirienne d'Électricité, CIE*), an SOE operating in Côte d'Ivoire's electricity sector, has achieved relatively strong performance with support from sound sector policies and robust SOE governance arrangements.²⁹ Public investment in CIE's role electricity distribution network helped increase electricity access rates from 62 percent in 2014 to 72 percent in 2023. CIE implemented a successful public-private partnership, Côte d'Ivoire Energies, in which the state retained control over the entity's assets, and the systematic use both of public-private partnerships and independent power producers has expanded generation capacity while limiting fiscal pressures. CIE benefits from competitive procurement, risk-sharing agreements with private investors, a clear separation of institutional roles, a professional governance framework, strong commercial discipline, and sustained government commitment to sector reforms.

²⁹ CIE is subsidiary of Eranove Group (54.2 percent of the capital).

105. **The clear functional separation of roles across the sector has been critical to CIE's performance.** Responsibility for policy formulation rests with the Ministry of Mines, Petroleum and Energy; asset ownership and planning are entrusted to Côte d'Ivoire Energies; and commercial operations are carried out by CIE under a concession arrangement. Complementary public investment and credible sectoral planning ensure that operational performance is supported by adequate generation and transmission capacity. This separation of roles has reduced conflicts of interest and insulated day-to-day operations from political interference, allowing CIE to operate under commercial principles while the state retains strategic control over sectoral objectives.

106. **CIE operates under a performance-based concession with a hard budget constraint, supported by professional and autonomous management.** The concession clearly allocates commercial, technical, and operational responsibilities to the operator, while investment planning and asset ownership remain with the state. The hard budget constraint limits fiscal exposure by avoiding open-ended budget support. CIE benefits from a professional board structure, clear managerial accountability, and operational autonomy within contractual boundaries. Management appointments and operational decisions are generally insulated from short-term political interference, supporting continuity in strategic implementation, technical modernization, and human capital development.

107. **CIE has benefited from strong cost recovery and disciplined commercial practices, supported by sustained political commitment and reform continuity.** The company has maintained high billing and collection rates, implemented systematic measures to reduce commercial losses, and enforced robust fraud detection mechanisms. Commercial discipline has underpinned financial sustainability and minimized reliance on state transfers, while tariff policies are aligned with cost recovery. Social objectives have been addressed through explicit and targeted programs rather than cross-subsidization. CIE's performance also reflects consistent political support for sector reforms, with contract enforcement, tariff adjustments, and governance arrangements preserved across successive administrations, limiting policy reversals that often undermine SOE reforms.

2.7.3 Malaysia's Khazanah Nasional Berhad: Centralized SOE ownership

108. **The Malaysian government exercises its ownership role over SOEs through Khazanah Nasional Berhad (KNB), a centralized government-linked holding company with a proven track record.** KNB is a sovereign wealth fund, and after posting a compound annual growth rate of 5.9 percent between 2004 and 2024, its investment portfolio reached US\$35.6 billion.³⁰ Its effectiveness reflects strong institutional design, disciplined governance, and credible insulation from political interference. Established under private enterprise laws and wholly owned by the Ministry of Finance, KNB operates independently from the line ministries, which also do not manage SOEs directly. This arrangement enables the state to exercise ownership through a single professional entity rather than fragmented ministerial oversight. Key success factors include centralized and professional ownership, clear separation of mandates, managerial autonomy, and sustained political commitment to reform. The state does not intervene in day-to-day operations.

109. **KNB operates under a clearly defined dual mandate via two distinct funds.** The Commercial Fund focuses on long term, risk adjusted financial returns and intergenerational wealth preservation, while the Strategic Fund targets investments with clearly defined economic and social impacts. Each fund has separate objectives, policies, and performance metrics, ensuring a clear separation between commercial and developmental goals and avoiding blurred mandates or implicit cross subsidization. Its robust corporate governance framework includes professional board members, clearly delegated management authority, and sound investment approval, risk management, and accountability mechanisms. Performance is evaluated against financial KPIs and other publicly announced targets, and outcomes are regularly monitored.

110. **Transparency and sustained political commitment have been central to KNB's success.** KNB publicly discloses key performance indicators and targets, publishes audited financial statements, and complies with international best practices, including the Santiago Principles, which are embedded in its 2004 Framework of Integrity, Governance, and Risk Management. It also reports regularly to Parliament and the public, reinforcing external accountability. Importantly, KNB has benefited from consistent political

³⁰ https://www.khazanah.com.my/downloads/TKR2024_ENG.pdf (Accessed on March 4, 2026).

support across successive administrations and is a key stakeholder in the Government Linked Companies Transformation Program, providing policy continuity that reduces uncertainty for management, investors, and lenders.

2.7.4 Kingdom of Morocco: An internationally competitive mining SOE

111. **OCP Group is a Moroccan mining-sector SOE that competes successfully in international markets while fulfilling its policy mandate.** OCP Group has transformed its business model from phosphate rock exports to fully integrated fertilizer and plant nutrition production, with downstream processing and customized products. This shift toward higher-value-added activities improved efficiency and strengthened global competitiveness. In 2008, OCP was corporatized as a joint stock company (OCP Group S.A.) while remaining predominantly state-owned, which placed it under commercial law. In 2024, OCP Group recorded revenues of US\$9.8 billion and net income of US\$2.1 billion.

112. **OCP Group operates on commercial terms, with the Moroccan government acting as an active, informed, and professional owner.** The company functions as a joint stock corporation, with no state involvement in day-to-day operations. Strategic oversight is exercised through a professional board, government commissioner oversight, and ex post audit mechanisms. OCP competes globally in fertilizer and chemical markets, finances most investments internally without reliance on annual budget transfers, and sells its outputs at market-based prices. In addition, OCP has raised US\$750 in private financing, demonstrating its capacity to operate with limited public investment.³¹

113. **Professional management and strong disclosure, transparency, and accountability practices have underpinned OCP Group's development strategy.** Managerial stability, technical expertise, and leadership credibility have enabled it to implement multi-year investments in fertilizers, renewable energy, desalination, and research and development. Management autonomy has been critical for OCP Group to deliver large-scale, long-horizon projects and remain globally competitive. OCP Group has reinforced its accountability through the publication of audited financial statements and the public disclosure of its

governance framework, its environmental, social and governance commitments, and its strategic objectives, which are complemented by external oversight through independent auditors.

2.7.5 Vietnam: A mobile telecom SOE operating under pure competition in mobile telecommunications

114. **Viettel, an SOE operating in Vietnam's mobile telecommunications sector, has achieved strong commercial and operational performance in a fully competitive market alongside private firms.** Viettel is wholly owned by the government and operates under the Ministry of National Defense, yet it competes directly with private mobile operators on pricing, service quality, network coverage, and innovation. Vietnam's mobile telecoms market is fully liberalized, with multiple operators holding spectrum licenses under the same regulatory framework and no exclusive rights granted to Viettel. Competition has driven rapid expansion of mobile and broadband coverage nationwide, with Viettel investing heavily in network rollout, including 4G and 5G infrastructure, on a commercial basis. Viettel's performance reflects a policy environment that emphasizes market entry, technology neutrality, and equal treatment of operators, demonstrating that state ownership has not impeded effective competition with private firms.

115. **Clear separation of roles between policymaking, regulation, and commercial operations has been central to sustaining competition neutrality in Vietnam's telecom sector.** Sector policy is formulated by the government through the Ministry of Information and Communications, while regulation and licensing apply uniformly to all operators, including Viettel and private firms. Viettel operates as a commercial entity, holding spectrum licenses under the same conditions as private competitors and is subject to identical rules on interconnections, pricing freedom, consumer protections, and adherence to competition law. The state does not intervene in Viettel's day-to-day commercial decisions and grants it no preferential access to spectrum, subsidies, or regulatory forbearance. This institutional separation has reduced conflicts of interest, limited political interference in operational decisions, and ensured that competition is driven by efficiency, investment, and service quality rather than ownership status.

³¹ <https://www.ocpgroup.ma/sites/default/files/2025-03/OCP%20-Preliminary%20Prospectus%20notes%202031-2051%20%281%29.pdf> (Accessed on March 4, 2026)

116. Viettel operates under hard budget constraints and commercial discipline comparable to private operators, reinforcing pure competition in the mobile telecoms market. The company finances its network expansion and technology upgrades primarily through retained earnings and commercial borrowing rather than direct budget transfers. Management is accountable for financial performance, operational efficiency, and market outcomes, with no guaranteed market share or revenue protection. Viettel's internal governance framework emphasizes performance targets, cost controls, and return on investment, aligning managerial incentives with commercial outcomes. The absence of open-ended state support and the requirement to compete for customers on market terms have reinforced a level playing field with private firms, supporting innovation and continuous efficiency gains across the sector.

117. A sustained political commitment to competition and reform continuity has allowed Viettel to remain commercially successful without undermining market neutrality. The government Vietnam has consistently preserved open entry, competitive licensing, and regulatory neutrality across successive administrations, limiting policy reversals that could favor Viettel. Social and strategic objectives—such as network expansion in remote areas—are addressed through explicit government programs rather than implicit cross subsidization. As a result, Viettel's market position reflects competitive performance rather than administrative advantage. This experience illustrates that when governance is strong and sector rules are credibly enforced, an SOE can coexist with private firms in a setting of pure competition, contributing to sector development without distorting market incentives.

2.7.6 Lessons for DRC

Centralized ownership and oversight

118. The international experience shows that centralized ownership arrangements can strengthen oversight, clarify objectives, and reduce fragmentation across line ministries. Centralization allows the state to act more consistently as a professional shareholder, better distinguish between commercial and policy objectives, and apply differentiated expectations across the SOE portfolio, thereby strengthening accountability and overall performance management. In DRC, consolidating ownership functions within a well-resourced, professional ownership entity, such as a holding company, could help clarify the representation

of the state as owner and reduce the scope for political interference in operational decisions.

Clear separation of roles and mandates

119. Successful SOEs tend to exhibit a clear functional separation between policymaking, ownership, regulation, asset ownership, and commercial operations. This separation tends to reduce conflicts of interest, limit political involvement in day-to-day management, and allow SOEs to operate under commercial principles while preserving strategic oversight by the state. Explicitly defining SOE mandates, with a clear distinction between commercial and public-policy objectives, can improve transparency around responsibilities and performance expectations. Financing non-commercial obligations through the budget, rather than through implicit cross-subsidization, can allow SOEs to be assessed against objectives consistent with their respective mandates.

Hard budget constraints and financial discipline

120. Credible hard budget constraints and limited access to open-ended fiscal support are critical to maintain financial discipline. Reliance on retained earnings and market borrowing reinforces incentives for cost control, billing discipline, and efficient investment choices. In DRC, reducing ad hoc transfers and bailouts, limiting automatic state guarantees, strengthening billing and collection (including from public entities), and resolving cross-arrears between SOEs and the state would contribute to more credible budget constraints. Linking any budget support to clearly defined performance benchmarks and aligning tariffs more closely with economic costs while protecting vulnerable groups through targeted measures would further reduce contingent fiscal risks.

Professional governance and managerial autonomy

121. Across comparator cases, strong performance is closely linked to professional boards and management teams selected based on competence rather than political affiliation. Governance arrangements aligned with private-sector standards—combining merit-based appointments, operational autonomy, and clear accountability—support strategic continuity, long-term investment execution, and organizational reform. In DRC, strengthening competency-based appointment processes, fixed mandates, and performance-based evaluations for boards and senior management, while limiting political involvement in operational decisions, could improve both performance and accountability.

*Transparency and external accountability***122. High-performing SOEs typically operate under robust transparency and disclosure frameworks.**

Regular publication of audited financial statements, disclosure of performance targets and outcomes, and compliance with international governance standards enhance credibility and discipline. External scrutiny by regulators, auditors, markets, and the public helps constrain opportunistic behavior and supports sustained performance improvements. In DRC, the systematic publication of SOE financial statements, debt data, and key performance indicators would strengthen fiscal oversight, reduce corruption risks, improve investor confidence, and support evidence-based policymaking.

Sustained political commitment and reform continuity

123. Durable SOE performance improvements require consistent political support for robust governance arrangements. The continuity of core governance and contractual frameworks across political cycles reduces uncertainty and allows reforms to mature. In DRC, anchoring ownership policy, governance standards, and performance frameworks in law or binding regulations would help preserve continuity across administrations, support long-horizon investments, mitigate fiscal risk, and enable SOEs to act as effective service providers and contributors to growth. Addressing political-economy constraints would be central to this process.

Predictable regulation and cost recovery

124. Predictable regulatory frameworks have also played an important role in supporting SOE performance. Stable regulation, independent

oversight, and transparent tariff-setting mechanisms facilitate cost recovery while safeguarding affordability through targeted social instruments. Addressing social objectives through targeted subsidies or budget-financed compensation rather than generalized underpricing helps preserve financial sustainability and investment incentives. In DRC, strengthening sector regulators (particularly in electricity, water, and transportation), enforcing predictable tariff-adjustment mechanisms, and explicitly compensating public-service obligations through the budget would improve SOE balance sheets, reduce fiscal opacity, and restore incentives for efficiency and investment.

Competitive neutrality and arm's-length state ownership

125. SOEs can compete effectively with private firms when the state credibly commits to competitive neutrality and arm's-length ownership. Under a governance environment in which the state acts as a disciplined shareholder rather than a market participant, ownership is separated from regulation and policymaking, preferential treatment is avoided, and commercial decisions are insulated from political interference. Uniform application of licensing rules, competition law, taxation, and regulatory oversight can ensure that market outcomes are driven by efficiency and investment rather than ownership status. In DRC, establishing a clear and binding framework for competitive neutrality—supported by independent regulators, hard budget constraints, transparent compensation of public-service obligations, and professional SOE governance—would help create a level playing field in which SOEs can operate under pure competition with private firms, attracting investment and contributing to growth without distorting markets.

2.8 Conclusion

126. Designing and implementing a comprehensive reform agenda for SOEs will be vital to contain and reduce fiscal risks in DRC. Under an adverse scenario in which all major SOEs default on their entire debt service, the central government could face financial pressures of up to US\$179 million in a single year. The magnitude of the government's exposure highlights the severity of the macro-fiscal risks emanating from the SOE sector. The analysis presented above reveals widespread financial distress across the SOE portfolio, which is characterized by persistent losses, high leverage, weak cashflow generation, and deep-seated operational inefficiencies, particularly in the energy, transportation, and water sectors. These financial weaknesses are compounded by governance failures, including fragmented state ownership and oversight arrangements, politicized appointments, limited transparency, and weak performance monitoring. Collectively, these shortcomings undermine accountability and commercial viability, resulting in low fiscal returns while amplifying fiscal risks through debt accumulation, tax arrears, and contingent liabilities.

127. Mitigating SOE-related fiscal risks and repositioning SOEs as contributors to DRC's development agenda will require strengthening corporate governance and financial discipline. This process entails clarifying mandates, ensuring more effective board oversight, hardening budget constraints, and strengthening performance monitoring. The broader reform package should include targeted workforce rationalization in selected SOEs where personnel costs are clearly misaligned with commercial benchmarks. Simulation results illustrate that reducing wage expenditure alone could yield meaningful gains, while combining wage-bill rationalization with improvements in management practices and governance delivers substantially larger and more durable reductions in fiscal risks as well as higher long-term growth through improved

resource allocation and productivity. While aggregate short-term social impacts appear modest in the simulations, political-economy challenges remain a binding constraint. Reform progress will therefore depend on sequenced, politically informed, and performance-based interventions that prioritize governance and commercial discipline and that apply workforce measures selectively and gradually to balance fiscal sustainability, service delivery, and social considerations (Box 2.6).

128. SOEs can perform effectively alongside private firms when governance is credible, ownership is exercised independently, and commercial discipline is enforced. The international experience shows that stronger SOE outcomes are typically associated with clearer ownership frameworks, more predictable governance arrangements, and sustained implementation over time. The simulations performed for this report suggest that incremental improvements in governance and financial performance—particularly among economically significant SOEs—could increase productivity, reduce fiscal risks, and contribute to poverty reduction over the long term. Continued progress in clarifying roles and mandates, strengthening transparency and performance monitoring, and maintaining a stable policy and regulatory environment would help create the conditions under which SOEs can more effectively support service delivery, private-sector development, and inclusive growth in DRC.

129. Translating these analytical insights into durable outcomes will require sustained political commitment, adaptive policy design, and rigorous monitoring and evaluation mechanisms. Improving data availability, strengthening feedback loops, and enhancing implementation capacity will be critical to manage risks and maximize reform impact over time. Embedding these principles into forward-looking strategies can help ensure that SOE reforms remain credible, responsive, and supportive of long-term development and resilience objectives.

Box 2.6 Political-economy constraints and reform pathways: DRC context and international experience

Even well-designed recommendations need political backing to succeed. Technical reforms alone rarely gain momentum without a compelling political rationale. The international experience suggests that the following approach could help overcome political-economy constraints in DRC:

- *Reframing service delivery as a source of political legitimacy.* In DRC, public dissatisfaction with unreliable electricity, water, and transportation services is high, particularly in urban areas. Internationally, reforms have gained momentum when political leaders have treated improved service delivery as a means to strengthen their legitimacy. In Colombia, utility reforms combined governance improvements with strong citizen-centric accountability mechanisms, making transparency and service quality visible political assets rather than threats to elite interests.
- *Creating space for resource reallocation through clearer mandates.* In DRC, SOEs often combine commercial activities with unfunded social and political mandates, limiting managerial autonomy and financial discipline. Explicitly distinguishing between public-policy objectives and commercial activities allows managers greater clarity as they allocate and prioritize their limited resources.
- *Realigning the incentives of CEOs and boards with performance outcomes.* The limited accountability of SOE leadership remains a key challenge in DRC, where appointments are often politically driven, and performance contracts are rarely enforced. Clearer ownership arrangements, professionalized boards, and performance monitoring frameworks can help link managerial incentives more closely to financial sustainability and service outcomes, even in politically sensitive sectors such as energy and transportation.
- *Sequencing reforms and building coalitions for change.* Past reform attempts in DRC have faltered due to their excessive breadth and lack of sustained political ownership. An incremental approach that focuses first on politically feasible entry points and allows reform coalitions to expand over time, while accepting that resistance from vested interests would remain significant, could yield more durable outcomes.

In DRC, progress is most likely to be achieved when reforms: (i) are selective and sequenced, (ii) emphasize visible service delivery gains, (iii) gradually realign leadership incentives with performance, and (iv) are informed by a realistic assessment of winners, losers, and reform champions. Embedding these political-economy considerations into reform design can increase the likelihood that technical solutions translate into lasting improvements in governance, service delivery, and fiscal outcomes.

ANNEXES

Annex 1: Detailed policy options for SOEs reforms in the Democratic Republic of Congo

The policy options for SOE reform include clarifying and strengthening the state's ownership role, consolidating oversight responsibilities, professionalizing boards and management, improving financial reporting and performance monitoring, containing fiscal risks, and advancing sector-specific reforms in priority SOEs.

1. **Adopt a New SOE Policy and a State Shareholder Strategy.** The current legal framework does not explicitly require the state to adopt a state shareholder strategy or define clear principles governing SOE creation and management. As a result, the Ministry of Portfolio lacks a coherent policy framework to guide decision-making across the SOE portfolio.

Key actions:

- **Adopt a new SOE policy approved a high level** clarifying how the state exercises ownership, oversight, and governance of state-owned enterprises, including the balance between commercial and public service objectives.
- **Amend Law 08/008** to require mandatory development, formal adoption, and periodic updating of a State Shareholder Strategy, including clear objectives and performance expectations.
- **Develop a comprehensive State Shareholder Strategy, supported** by a medium-term action plan and sector-specific strategies—particularly for mining, transport, energy.

2. **Reform the State Ownership model.** The DRC's ownership and oversight functions are currently fragmented among the Presidency, Ministry of Portfolio, CSP, and COPIREP, resulting in weak accountability and inconsistent supervision.

Key actions:

- **Consolidate the state ownership function within** a single, well-resourced ownership entity mandated to:
 - approve SOE strategies and major investment decisions
 - appoint, and evaluate, and, where necessary, remove board members
 - monitor financial and operational performance using standardized indicators.

3. **Strengthen SOE performance monitoring.** Existing performance agreements and CPS reviews cover only parts of the SOE portfolio and do not constitute a comprehensive monitoring system aligned with good practices.

Key actions:

- **Publish an annual SOE portfolio report** covering financial, operational, and governance indicators.
- **Establish a standardized performance monitoring framework, including clear procedures** for setting performance targets, monitoring outcomes, and enforcing corrective actions.
- **Expand performance monitoring** to cover all direct participation and ensure systematic follow-up on results.

4. **Professionalize SOE boards and management.** Persistent political appointments continue to undermine the performance of strategic SOEs such as SNEL, REGIDESO, SNCC, and Gécamines.

Key actions:

- **Require SOEs to adopt and update governance charters** consistent with international standards and national regulations.
- **Introduce competency-based criteria for board appointments**, supported by clear fit and proper rules.
- **Create a national roster of pre qualified independent directors to broaden the pool of professional candidates.**

5. **Improve financial reporting, auditing, and transparency.** Financial reporting remains weak across much of the SOE portfolio, with outdated integrated financial management and information system (IFMIS), qualified audit opinions, and significant reporting delays.

Key actions:

- **Require OHADA compliant financial reporting**, supported by modern Enterprise Resource Planning (ERP) systems (building on REGIDESO's ongoing reforms).
- **Publish audited financial statements online**, including information on arrears, contingent liabilities, and debt composition.
- **Improve external audit practices** by mandating regular independent audits for all SOEs, using transparent auditor selection, systematically following up on audit results, and coordinating remediation with the central SOE ownership entity.
- **Introduce performance-linked remuneration** for senior management to reinforce accountability.

6. **Address SOE fiscal risks and debt accumulation.** SOEs pose significant fiscal risks through debt accumulation, arrears, and contingent liabilities, requiring stronger financial discipline, enhanced oversight of borrowing through a more active role of boards of directors in reviewing debt decisions, and corrective action in persistently loss-making enterprises.

Key actions:

- **Clarify and strengthen the institutional mandate of the SOE fiscal risk monitoring** unit to ensure a single, empowered unit has clear responsibility for identifying, monitoring, and reporting SOE related fiscal risks.
- **Reconcile cross arrears** between SOEs and the state to clean balance sheets, particularly for SNEL and REGIDESO.
- **Require SOE boards of directors to play a stronger oversight role in reviewing all borrowing decisions** to ensure that they are supported by sound financial analysis and aligned with the SOE's strategic and financial capacity.
- **Restructure persistently unprofitable SOEs on a case-by-case basis**, focusing business models, enabling private-sector involvement via PPPs or capital access.
- **Consider targeted recapitalization** only where operational restructuring and governance reforms have restored financial viability.
- **Align tariffs with economic costs**, while protecting vulnerable groups through targeted measures.

7. **Ensure policy consistency and long term political commitment.** SOE reform should be anchored in a medium-to-long-term government strategy, protected from frequent policy reversals.

Key actions:

- **Create a formal communication framework** to consistently disseminate SOE reform objectives to political, administrative, and public stakeholders.
- **Institutionalize reform mechanisms** to ensure continuity across political cycles.

8. Sector-specific governance actions. Given the heterogeneity of SOEs and the concentration of fiscal and service-delivery risks in a small number of strategic sectors, reforms need to be tailored to sector-specific operational and governance challenges. Targeted interventions in energy, water, transport, and mining are critical.

Key actions:

- **Update and harmonize public-service delegation agreements and performance obligations** in line with sectoral laws and financial sustainability principles.
- **Implement workforce renewal and capacity-building programs** in sectors where outdated staffing profiles are hampering service delivery and financial performance.
- **Prioritize investment plans for modernization of critical infrastructure in energy, water, transport, and mining**, ensuring alignment with sector reforms and financial capacity.
- **Energy (SNEL):** Introduce credible cost recovery pathways; modernize billing systems; enforce performance contracts with sanctions.
- **Water (REGIDESO):** Consolidate ERP reforms; expand digital metering; enforce performance contracts with sanctions; reform human resources policy (review outdated retirement packages, review skills requirements and compensation policy); update REGIDESO's tariff policy to a dynamic cost-reflective model indexed to market conditions; address concealed taxes and parafiscal charges which raise the cost of operations.
- **Transport (SNCC, ONATRA, RVA):** Expand the use of PPPs in rail and port operations; publish service contracts; reassess the viability of legacy investments.
- **Mining (Gécamines):** Require full disclosure of joint-venture agreements, dividends, and arrears; strengthen asset valuation and financial reporting.

Annex 2: Key macroeconomic indicators

	2023	2024	2025	2026	2027	2028
Real GDP growth (%)	8.5	6.1	5.5	5.2	5.1	5.1
Extractive GDP	20.2	11.9	8.0	7.6	7.0	6.6
Non-extractive GDP	3.4	3.1	3.1	3.5	3.7	3.8
Inflation (% , period average)	19.9	17.7	7.5	6.0	6.4	7.0
Overall fiscal balance (% of GDP)	-1.9	-1.9	-2.9	-2.2	-1.8	-1.5
Domestic revenue (% of GDP)	13.5	13.8	13.5	13.8	14.3	14.7
Expenditure (% of GDP)	16.5	16.8	17.3	16.7	16.7	16.6
Current- account balance (% of GDP)	-5.5	-4.2	-3.6	-3.4	-3.2	-3.0
Official reserves (weeks of imports)	8.4	10.2	11.7	12.8	13.4	14.0
GDP (current US\$, billions)	66.4	73.3	87.6	105.7	113.4	121.3

Sources: DRC authorities; WBG estimates and projections.

Annex 3: DRC's key SOEs

SOE	Sector
Gécamines	Mining
SOKIMO	Mining
SCMK	Mining
SODIMIKO	Mining
SAKIMA	Mining
COMINIÈRE	Mining
MIBA	Mining
REGIDESO	Water
RVA	Transport
ONATRA	Transport
SNCC	Transport
CVM	Transport
LMC	Transport
CONGO AIRWAYS	Transport
SCPT	Telecommunications
SONAHYDROC	Energy
COBIL	Energy
SNEL	Energy
SONAS	Financial services
CADECO	Financial services

Sources: Ministry of Portfolio

Annex 4: A detailed description of the methodology and SOE-specific indicators

SOE financial vulnerability assessment using the IMF health check tool

Scope, Coverage, and Methodology

This assessment applies a standardized risk screening framework to a subset of systemically important SOEs. Selected non-financial SOEs were assessed using the International Monetary Fund's (IMF) SOE **Health Check Tool** (HCT) to evaluate financial vulnerability and overall risk exposure. The HCT aggregates a set of standardized financial indicators into composite risk ratings using predefined thresholds and a weighted scoring methodology. Six strategic SOEs—SNCC, SCTP, SNEL, REGIDESO, RVA, and Gécamines—were included based on the availability of audited financial statements and their material role in the economy.

The analysis is anchored in a common, fully comparable data window, complemented by more recent entity specific observations where available. All six SOEs report audited data for 2019–2022, which constitutes the core sample used for cross enterprise comparability. Data availability outside this period is uneven: four SOEs (RVA, SNEL, REGIDESO, and SCTP) report data for 2018; four SOEs (SNCC, RVA, SCTP, and Gécamines) for 2023; and two SOEs (SNCC and Gécamines) for 2024. Portfolio level indicators therefore reflect weighted averages calculated using all available observations in each year, while individual SOE assessments rely on the most recent audited data for each entity. This approach preserves comparability while incorporating the latest information for risk identification.

The presentation of results follows the IMF HCT methodological guidance. Tables 1 and 2 summarize, respectively, the evolution of portfolio level financial indicators and individual SOE risk ratings. Indicator definitions, threshold values, and aggregation rules adhere strictly to the IMF SOE HCT User Guide.

Interpretation of Risk Categories and Color Coding

Financial indicators are mapped into a uniform five category risk scale to facilitate interpretation and comparability. Under the HCT, each indicator and the resulting composite score are classified into five risk categories. Category 1 (green) denotes the lowest level of financial risk, while Category 5 (dark red) denotes the highest level of risk. Categories 2 to 4 represent progressively higher intermediate risk levels. This color-coded classification is applied consistently across profitability, liquidity, solvency, and overall risk dimensions, enabling a standardized reading of vulnerabilities across SOEs and over time.

Annex 5: Definition of financial ratios

Profitability ratios

Operating profit margin: measures operating efficiency by indicating the share of operating revenue remaining after operating expenses. (Operating profit divided by total operating revenue).

Net profit margin: assesses overall profitability after accounting for all expenses, including interest and taxes. It is equivalent to net profit (after tax) divided by total revenue.

Return on assets: evaluates how efficiently the SOE uses its asset base to generate profits. It is equivalent to Net profit divided by total assets.

Return on equity: measures the return generated on shareholders' (state) equity. It is equivalent to net profit divided by equity.

Cost recovery ratio: assesses whether operating revenues are sufficient to fully cover operating costs.

It is equivalent to operating revenue divided by operating expenses. A value greater than one indicates full cost recovery.

Liquidity ratios

Current ratio: Assesses the ability to meet short-term obligations using short-term assets. It is equivalent to current assets divided by current liabilities.

Quick ratio: A stricter liquidity measure that excludes inventories and other less liquid current assets. It is equivalent to (Current assets minus inventories) divided by current liabilities.

Debtor turnover days (Days receivable outstanding): measures the average number of days required to collect payments from customers. It is equivalent to (Accounts receivable divided by annual revenue) multiplied by 365. High values indicate weak billing and collection performance.

Creditor turnover days (Days payable outstanding): measures the average number of days the SOE takes to pay suppliers. It is equivalent to (Accounts payable divided by operating expenses) multiplied by 365. Elevated values often reflect reliance on payment arrears.

Solvency and leverage ratios

Debt-to-assets ratio: indicates the proportion of total assets financed through debt. It is equivalent to total debt divided by total assets.

Debt-to-equity ratio: measures financial leverage relative to the equity base. It is equivalent to total debt divided by equity.

Debt-to-EBITDA ratio: assesses debt sustainability relative to cash-based operating. It is equivalent to total debt divided by EBITDA (earnings before interest, taxes, depreciation, and amortization). Higher values indicate weaker debt-servicing capacity.

Interest coverage ratio: measures the ability to meet interest obligations using operating profits. It is equivalent to EBIT (earnings before interest and taxes) divided by interest expense.

Cash interest coverage ratio (cash-flow-based): measure of the capacity to service interest payments. It is equivalent to operating cash flow divided by interest payments.

Debt coverage ratio: evaluates the SOE's capacity to service total debt from internal cash generation. It is equivalent to operating cash flow divided by total debt service obligations.

Annex 6: Financial indicators (weighted average for the portfolio)

	2018	2019	2020	2021	2022	2023	2024
Profitability							
Operating profit margin	(0.00)	-0.17	-0.31	-0.16	-0.19	(0.26)	(0.19)
Net profit margin	0.00	-0.18	-0.22	-0.14	0.11	(0.02)	0.03
Return on assets	0.00	(0.02)	(0.02)	(0.02)	0.01	(0.00)	0.01
Return on equity	0.00	(0.03)	(0.03)	(0.02)	0.02	(0.00)	0.01
Cost recovery	1.00	0.85	0.76	0.86	0.84	0.79	0.84
Liquidity							
Current ratio	1.26	1.14	1.13	1.02	1.11	0.80	0.75
Quick ratio	1.24	1.09	1.08	0.98	1.06	0.74	0.69
Debtor turnover days	1,319.47	1,139.17	732.32	673.70	762.29	1,481.76	1,484.77
Creditor turnover days	662,406.20	292,813.69	692,052.72	425,039.87	707,420.29	299,346.57	1,134,222.71
Solvency							
Debt to assets	0.34	0.37	0.32	0.34	0.35	0.40	0.53
Debt to equity	0.52	0.60	0.46	0.52	0.55	0.67	1.12
Debt to EBITDA	20.43	86.40	558.82	90.61	61.47	(30.41)	(27.94)
Interest coverage	(0.01)	(1.40)	(2.39)	(1.40)	(2.63)	(1.69)	(1.75)
Cash interest coverage	1.87	0.39	0.05	0.30	0.71	(0.74)	(0.93)
Debt coverage	0.12	0.03	0.00	0.03	0.04	(0.19)	(0.14)
Government relationship							
Govt. transfers to total rev.	0.00	0.00	0.00	0.00	0.00	0.00	0.00
50% test	1.20	1.42	1.69	1.47	2.90	4.85	5.16
Overall risk rating - Wt. Av.*	2.85	3.46	3.46	3.46	2.85	4.08	3.46

Source: World Bank calculations based on data from SOEs' audited financial statements

Note: The analysis covers data for all 6 SOEs between the period 2019-2022. Only 4 SOEs (RVA, SNEL, REGIDESO and ONATRA) had data for 2018; 4 SOEs for 2023 (SNCC, RVA, ONATRA and Gécamines) and 2 SOEs for 2024 (SNCC and Gécamines). The computation of the financial indicators is described in the [IMF's SOE HCT User Guide](#). The analysis includes five risk categories interpreted in the following order: Category 1 (green color) representing SOEs with lowest level of risk, Category 2 (orange-yellow), Category 3 (dark orange), Category 4 (bright red) and Category 5 (dark red) representing highest level of risk.

Category 5	Higher risk rating
Category 4	↑ ↓
Category 3	
Category 2	
Category 1	Lower risk rating

Annex 7: Overview of assessment criteria for governance of SOEs in the DRC

Legal and regulatory framework. A clear and coherent legal framework for SOEs establishes clear and non-contradictory obligations, covering all significant requirements to facilitate compliance and enforcement.

State ownership arrangements. It is imperative for the state to fulfill its role as an active and responsible shareholder, with clear accountability for its ownership responsibilities. These ownership functions should be delegated to an entity equipped with the necessary authority and resources to proficiently manage the SOE portfolio.

Performance monitoring. The state must monitor the performance of SOEs and hold their management teams and boards accountable, establishing monitoring systems based on well-defined mandates, strategies, and performance objectives.

Structure and functioning of the boards of directors. The structure and functioning of boards of directors are pivotal in providing strategic guidance to management and overseeing critical areas such as strategic planning, risk management, and executive remuneration. Effective boards have clearly defined responsibilities, diverse and merit-based memberships, specialized committees, appropriate remuneration frameworks, and mechanisms for regular effectiveness evaluations.

Financial accountability and transparency. This involves relevant, timely and accurate reporting on financial performance and other activities, a strong internal control environment, and independent, competent external audits. In addition, the publication of portfolio-level information (commonly referred to as “aggregate reporting”) enables policymakers and stakeholders to be informed about the performance and situation of the SOEs; it also helps ensure the government is accountable for fulfilling the state ownership role effectively.

Procurement in SOEs. A key issue regarding procurement in SOEs is the extent to which they are subject to the same rules as government bodies, whether the requirements on procurement applicable to SOEs are appropriately flexible to reflect their commercial nature. Irrespective of the system in place, it should ensure that SOEs observe sound, universally accepted principles of procurement e.g., transparency, efficiency and economy.

Annex 8: SOEs legal framework in DRC

1. **Revised OHADA Uniform Act of 5 May 2014** relating to the Law of Commercial Companies and Economic Interest Groups.
2. **Law No. 08/007 of 7 July 2008** establishing general provisions for the transformation of public enterprises, which enabled the conversion of public enterprises into commercial companies, public institutions, and public services, as applicable.
3. **Law No. 08/008 of 7 July 2008** on general provisions relating to the State's disengagement from portfolio enterprises: sets out the general provisions governing the procedure for the State's withdrawal from the capital or management of State portfolio enterprises, as well as the implementation of public-private partnership projects.
4. **Law No. 08/009 of 7 July 2008**: sets out the general provisions applicable to public institutions, defining the specific legal framework for public institutions, including those resulting from a transformation.
5. **Law No. 08/010 of 7 July 2008** establishing rules relating to the organization and management of the State portfolio: defines the content of the State portfolio and determines the representation of the public shareholder, as well as the acquisition, retention, or increase of State shareholdings.
6. **Decree No. 09/14 of 24 April 2009** on the creation, organization, and functioning of a public institution known as the Special Portfolio Fund ("FSP").
7. **Decree No. 09/15 of 24 April 2009** on the creation, organization, and functioning of a public institution known as the Steering Committee for Public Enterprise Reform ("COPIREP").
8. **Decree No. 12/031 of 2 October 2012** establishing rules relating to the State's assumption of non-insurable liabilities of public enterprises transformed into commercial companies.
9. **Decree No. 13/002 of 15 January 2013** on the organization of the representation of the State as sole shareholder within the general assembly of a portfolio company transformed into a commercial company.
10. **Decree No. 13/036 of 3 September 2013** on the creation, organization, and functioning of the High Council of Portfolio ("C.S.P").
11. **Decree No. 23/14 of 12 April 2023** amending and supplementing Decree No. 13/055 of 13 December 2013 relating to the status of mandataries in State portfolio companies.
12. **Decree No. 13/055 of 13 December 2013** on the status of public mandataries in State portfolio enterprises, as amended and supplemented by Decree No. 23/14 of 12 April 2023, Decree No. 14/023 of 10 September 2014, and Decree No. 24/08 of 4 October 2024.
13. **Decree No. 24/04 of 21 August 2024** relating to the Safeguarding of Assets of Public Enterprises, Public Institutions, and Public Services.
14. **Circular No. 01159/CAB/MIN.PF/CSP/JZ/JLB/2025 of 22 May 2025** establishing principles for the selection of statutory auditors in portfolio companies.³²

These laws are the founding acts of the reform of public companies. They substituted Framework Law no. 78-002 of January 6, 1978, laying down general provisions applicable to public companies.

³² This circular repealed the circular of 8 February 2023.

Annex 9: Technical appendix on methodology for macro simulation³³

The macro simulation focuses on two channels through which SOE reforms may strengthen fiscal sustainability and long-term economic growth: (i) reductions in fiscal risks arising from SOE financial distress, and (ii) improvements in aggregate productivity through reduced resource misallocation. The steps involved in the analysis are summarized below:

9.1 Estimating SOE fiscal risks using altman Z-Scores

Financial statements from 11 SOEs are used to compute annual Altman Z-scores (Altman E., 1986; Dappe et. Al., 2022³⁴) as measures of firm-level financial health using the official methodology below:

$$Z'' = 3.25 + 6.56 * \frac{\text{Current Assets} - \text{Current Liabilities}}{\text{Total Assets}} + 3.26 * \frac{\text{Retained Earnings}}{\text{Total Assets}} + 6.72 * \frac{\text{EBIT}}{\text{Total Assets}} + 1.05 * \frac{\text{Book Value of Equity}}{\text{Total Liabilities}}$$

where

EBIT = Earnings Before Interest and Taxes

These Z-scores are mapped monotonically into synthetic credit ratings, calibrated so that the highest Z-score aligns with the current DRC sovereign rating; all other Z-scores are assigned to proportionally lower rating categories. Historical default rate tables from standard rating agencies are then used to convert synthetic ratings into one-year probabilities of default (PDs). Expected loss given default (LGD) is inferred from typical recovery rates for quasi-sovereign exposures. For each SOE and each year, expected loss is calculated as:

$$\text{Expected Loss}_{i,t} = PD_{i,t} \times LGD_{i,t} \times EAD_{i,t}$$

where $PD_{i,t}$ is the one-year probability of default implied by the SOE's synthetic rating in year t , $LGD_{i,t}$ is the assumed loss given default, and $EAD_{i,t}$ is the exposure at default, defined as the SOE's outstanding financial liabilities. Summing across enterprises yields an aggregate measure of potential fiscal costs from partial SOE debt-service default.

Four reform scenarios are assessed for their impact on SOE solvency as below:

Scenario 1: 5% workforce rationalization

Scenario 2: 25% workforce rationalization

Scenario 3: Increase of 4.5 units in average management-practice scores (proxy for governance improvements)

Scenario 4: Combination of Scenario 2 (25% rationalization of workforce) and Scenario 3 (governance improvement).

Baseline estimates suggest that the government could face up to US\$61 million in expected losses from the 11 SOEs for which data are available. Improved management practices and a 25% workforce rationalization (Scenario 4) would reduce expected losses to US\$32.8 million, reflecting major improvements in financial health and a decline in SOE default risk. SOEs with low Z-scores are systematically associated with higher expected losses, confirming the tight link between weak financial performance and heightened fiscal exposure.

9.2 SOE losses as a source of resource misallocation

Beyond fiscal risks, the operating losses of SOEs—together with explicit subsidies—represent a misallocation of scarce resources toward low-productivity firms. International evidence consistently finds that SOEs tend to exhibit lower productivity and higher loss rates than private firms, and that preferential access to credit and state support entrenches these inefficiencies (IMF 2020³⁵, Guo et. al. 2021³⁶).

³³ Singh, Gui-Diby and Deguenonvo, Unpublished. Can SOE Reforms boost Productivity and Growth in Democratic Republic of Congo.

³⁴ Herrera Dappe, Matias; Musacchio, Aldo; Pan, Carolina; Semikolenova, Yadviga Viktorivna; Turkugulu, Burak; Barboza, Jonathan. Smoke and Mirrors : Infrastructure State-Owned Enterprises and Fiscal Risks (English). Policy Research working paper|no. WPS 9970 Washington, D.C.: World Bank Group. <http://documents.worldbank.org/curated/en/256841647366128576>

³⁵ International Monetary Fund (IMF). 2020. Fiscal Monitor: Chapter 3 Online Annexes 3.1–3.7. Washington, DC: International Monetary Fund.

³⁶ Guo, Wei; Han, Fei; Jahan, Sarwat; Jurzyk, Emilia; and Ruane, Cian. 2021. Chinese State Owned Enterprises, Resource (Mis)Allocation, and Productivity. IMF Staff Paper. Washington, DC: International Monetary Fund.

9.2.1 Calibrating aggregate productivity effects

We interpret SOE losses as a measurable productivity gap arising from misallocation. Let Φ denote the proportionate TFP gap attributable to SOE-related distortions:

We assume that a reform that reduces SOE losses closes a proportional share of this gap. Formally, the change in aggregate productivity is given by:

$$\frac{\Delta A}{A} = \phi \left(\frac{\Delta L}{L_0} \right)$$

Where, A is Aggregate Total Factor Productivity

ΔL is the reduction in SOE losses achieved through reform,

L_0 is expected loss given default under baseline

ϕ is the TFP gap attributable to SOE-related misallocation

Thus, a reform that reduces SOE losses by a fraction $\Delta L/L_0$ is assumed to close the same fraction of the misallocation-induced TFP gap ϕ .

We calibrate ϕ using the ratio of SOE losses to GDP:

$$\phi = \frac{\text{SOE operating losses/ surplus + subsidies}}{\text{GDP}}$$

Using data from SOEs, ϕ is calibrated at 3.5 percent of GDP.

9.3 Macroeconomic impact using the World Bank's long-term growth model

To translate productivity improvements into macroeconomic outcomes, we embed the estimated TFP gains into the World Bank's Long-Term Growth Model (LTGM), a Solow-type framework extended to incorporate human capital, demographics, external balances, and labor force participation. A workforce-only reform reduces roughly one-fifth of SOE losses, and—under the proportional-closure assumption—this close about 20 percent of the 3.5 percent TFP gap. This yields a TFP gain of 0.5 percentage point increase in the model. Therefore, a rationalization of workforce expenditure alone (Scenario 2) could raise annual TFP growth to 0.7 percent, increasing long-run GDP growth to about 4 percent by 2050—about one percentage point above the baseline projection. Combining workforce with improved management practices (Scenario 4) could raise GDP growth by about two percentage points above the baseline level. These results highlight the dual benefits of SOE reform: lowering immediate fiscal risks while generating long-term productivity gains and higher potential output.

9.4 Workforce rationalization thresholds in SOE reform simulations

The identification of workforce rationalization thresholds in the simulations draws directly from empirically observed reform magnitudes in regions including Africa, America, and Eastern Europe. These thresholds are designed to anchor the analysis in documented experiences and provide a framework that is both realistic and applicable to similar reform environments.

Lower threshold: 5 percent rationalization

The lower threshold, set at 5 percent, is intended to represent minimal, low-risk adjustments. Such reductions typically result from administrative efficiency measures. These measures can include actions like conducting payroll audits, removing ghost workers from payrolls, improving the control of allowances, and containing wage drift. Evidence from state-owned enterprise (SOE) and public financial management literature consistently shows that these types of adjustments can be implemented without requiring changes to employment levels or wage structures.

These efficiency measures generally yield modest but credible gains in efficiency and have only small effects on productivity. As such, the 5 percent threshold serves as a conservative benchmark. It captures what can be achieved even in environments with significant political and institutional constraints, providing a realistic baseline for reform.

Upper threshold: 25 percent rationalization

The upper threshold, set at 25 percent, is chosen to reflect the correction of structural overstaffing and wage misalignment. This type of reduction is frequently observed in SOEs where personnel costs absorb the majority of turnover and, in some cases, even exceed total operating revenues. Such situations necessitate more substantive interventions to align staff numbers and wage expenses with operational requirements and financial sustainability.

In the DRC context, this upper threshold represents a realistic medium-term reform outcome. Achieving a 25 percent reduction would bring wage bills closer in line with regional peers while ensuring that the operational capacity of SOEs is preserved.

The simulation thresholds are grounded in empirically observed SOE reform experiences across developing countries in Latin America, Africa and Eastern Europe. A 5 percent cut reflects low-risk efficiency gains, while a 25 percent cut captures deeper structural adjustments consistent with medium-term SOE reform outcomes.

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